OECD

ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

SWITZERLAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

FEBRUARY 1971

BASIC STATISTICS OF SWITZERLAND

THE LAND

Area (1 000 sq. km)	41.3
Cultivated agricultural land (1 000 sq.km)	2.7
Grassland and pastures (1 000 sq.km in 1952)	19.0
Forest (1 000 sq.km in 1952)	9.8

Major cities, end-1969 estimates (1 000 inhabitants)	
Zurich	427.6
Basle	213.4
Geneva	171.9
Bern	166.2

THE PEOPLE

Population, 1969 mid-year estimates (1 000)	6 224.0
No. of persons per sq. km in 1969	150.7
Net annual rate of population increase (per 1 000 inhabitants 1965-1969)	11.6
Labour force, 1960 census (in per cent of total population)	46.3
Percentage distribution :	
Agriculture and forestry	11.2
Industry and construction	49.3
Other	39.5

Number of foreign workers subject to control (1 000)	
April 1970	630.2
August 1970	659.5
Annual average increase in the number of foreign workers subject to control. August census (1 000)	
1955-1964	50.0
1964-1970	—10.2

PRODUCTION

Gross National Product in 1969 (billion Swiss francs)	80.7
Growth of real GNP, 1966-1969 average (annual rate, per cent)	3.5
Gross fixed investment in 1969 (in per cent of GNP)	25.6
Growth of real fixed investment, 1966-1969 average (annual rate, per cent)	3.0

Growth of total labour productivity, 1966-1969	3.3
Value added by industrial origin in 1967 (in per cent of GDP at factor cost)	
Agriculture	6.4
Industry	49.6
Other	44.0

THE GOVERNMENT

Public consumption in 1969 (in per cent of GNP)	11.8
Public works in 1969 (in per cent of GNP)	5.7
Tax revenue in 1969 (in per cent of GNP)	18.2
Public debt in per cent of current receipts (1966)	121.0

Composition of Parliament (per cent)

	National Council	State Council
Conservative Christian Socialists	22.5	41.0
Radical Democrats	24.5	32.0
Socialists	25.0	4.0
Agrarians	10.5	7.0
Other	17.5	16.0
Last Elections 1967		
Next Elections 1971		

FOREIGN TRADE

Exports of goods and services including factor incomes as a percentage of GNP (average 1964-1969)	34.2
Commodity exports (f.o.b. million U.S. dollars, 1969)	4 640
Percentage distribution (1969) :	
To OECD countries	76.1
To developing countries	17.2
Food, drinks and tobacco (SITC groups 0 and 1)	5.6
Materials (2, 3, 4)	2.6
Semi-finished goods and chemicals (5, 6)	37.9
Finished manufactured goods (7, 8, 9)	53.8

Imports of goods and services including factor incomes as a percentage of GNP (average 1964-1969)	31.7
Commodity imports (c.i.f. million U.S. dollars, 1969)	5 272
Percentage distribution (1969)	
From OECD countries	88.7
From developing countries	8.4
Food, drinks and tobaccos (SITC groups 0 and 1)	13.0
Materials (2, 3, 4)	11.5
Semi-finished goods and chemicals (5,6)	34.4
Finished manufactured goods (7, 8, 9)	41.1

THE CURRENCY

Monetary unit : Swiss Franc

Currency unit per U.S.$ 0.231

NOTE : An international comparison of some basic statistics is given in the Statistical Annex, Table L.

OECD ECONOMIC SURVEYS

SWITZERLAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Developments (OECD), was set up under a Convention signed in Paris on 14th December, 1960, which provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well a non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

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The annual review of Switzerland by the OECD Economic and Development Review Committee took place on 21st January 1971.

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INTRODUCTION

After the initial, export-led phase of the boom, domestic demand has been growing extremely rapidly for over a year. In nominal terms, its expansion has probably exceeded in 1970 the 9 per cent registered the previous year. The growth of real output, on the other hand, has slowed down as capacity ceilings have been reached in most sectors of the economy and as the supply of labour has remained relatively inelastic. The imbalance between demand and supply has largely been absorbed by a sharp deterioration of the foreign balance on goods and services equivalent to some 3 per cent of GNP. The marked shift towards foreign sources of supply would probably have tempered the price rise had it not been for the exceptionally rapid upswing of world market prices, notably German export prices. Higher import prices have been one of the main reasons for the eventual spread of foreign inflationary developments to the Swiss economy.

Economic policy has attempted to contain demand and price developments, but fiscal action has been hampered by the lack of flexible instruments, and monetary measures took time to bite. A deceleration in exports and delayed policy effects led to some slowdown of the growth of demand in the second half of 1970, which may well continue into 1971. On the other hand capacity limitations exist in many sectors (notably construction). Prices are at present accelerating and may only respond with a lag to the change in demand conditions.

Part I of the present Survey considers recent developments in demand and supply, the relatively good price performance enjoyed until spring 1970, the reasons for the present price acceleration, and the deterioration in the current balance of payments. Part II reviews the authorities' policy interventions. Part III discusses prospective developments and the policy conclusions to be drawn therefrom.

I RECENT TRENDS

Demand and Output

Preliminary semi-official estimates suggest that real GNP may have grown by some 4½ per cent between 1969 and 1970, substantially above the rates recorded in the latter half of the 1960's, though below the near 6 per cent increase of the previous year. While in 1968 and 1969 the sharp increase of foreign demand played a determining role in launching the economy on to a faster growth path, the rise of exports decelerated in 1970. To some extent the slowdown probably reflected a deceleration

in foreign demand, but supply limitations may have been more important. On the other hand, domestic demand, notably fixed investment and stockbuilding, accelerated from the second half of 1969 onwards. Indeed, for the first time since 1962 the rate of growth of real domestic demand may have outstripped that of exports.

Influenced by the scarcity of labour, investment in machinery and equipment appears to have been particularly buoyant, continuing its relatively strong rise of 1969. While in 1969 domestic supply was apparently able to meet a good deal of the new demand, output of machinery rose very

Table 1 **Gross National Product and Expenditure at Constant previous year's prices**[1]

Percentage changes from previous year

	1965	1966	1967	1968	1969	1970[2]	1971[2]
Private consumption	3.7	2.8	2.9	3.2	4.9	5.3	5 ¾
Public consumption[3]	1.0	3.8	1.7	0.8	4.9	4.0	6
Gross asset formation	−3.5	−0.7	0.5	4.5	7.6	10.8	6
Fixed assets	−1.6	−0.5	0.5	4.2	7.8	8.8	7 ½
Stocks (contribution to growth of GDP)	−0.6	—	—	0.1	—	0.6	− ¾
Total domestic demand	1.3	1.9	2.0	3.2	5.6	6.7	5 ¾
Exports (excluding factor income)	11.6	5.2	3.6	9.7	13.0	6.6	6
Total demand	3.5	2.7	2.4	4.8	7.5	6.6	5 ¾
Imports (excluding factor income)	3.5	3.5	4.6	8.1	12.9	13.3	11 ¼
GDP	3.6	2.4	1.7	3.8	5.8	4.5	4
GNP	4.0	2.7	1.8	4.2	5.9	4.4	3 ¾
Contribution to growth of GNP							
Domestic demand	1.3	1.9	2.0	3.1	5.3	6.4	5 ¾
Foreign balance (excluding factor income)	2.2	0.4	−0.3	0.6	0.4	−2.0	−2
Factor income	0.5	0.4	0.1	0.5	0.2	—	—

1 The main components of demand have been weighted together with previous years' price weights. Results differ somewhat from the official figures based on 1958 prices — the latter which are shown in the Statistical Appendix (Table B), give somewhat different year-to-year changes for GNP notably for the years 1969 to 1971.
2 Semi-official November estimates or forecasts.
3 Including private social insurance.

Source : La Vie économique.

Table 2 **Contribution of Selected Demand Components**

	Percent. shares in 1968 total demand	Percent. contribution to increase in total demand at constant prices		
		1968	1969	1970[1]
Private consumption	45.3	30.6	29.5	35 ½
Fixed investment	19.6	17.9	20.4	26
Stock accumulation	0.5	1.2	0.1	7
Exports of goods and services[2]	25.4	48.9	44.0	26

1 Semi-official November estimates.
2 Excluding factor income.

Table 3 **Indicators of Investment**

Percentage changes from previous year

		1965	1966	1967	1968	1969	1970
1	Total gross fixed asset formation						
	Current prices	1.3	2.9	2.4	6.0	11.3	18.3[1]
	1958 prices	−1.4	−0.4	0.5	4.3	7.8	8.8[1]
2	Machinery and equipment						
	Current prices	4.0	6.3	6.1	8.9	8.8	19.3[1]
	1958 prices	1.3	1.2	2.5	6.0	7.2	12.0[1]
3	Imports of investment goods						
	Current prices	−3.2	10.2	0.8	17.9	12.6	38.5[2]
	— excluding aircraft	−1.8	8.7	0.5	10.2	19.9	41.4[2]
	1961 prices (volume index)	−8.3	6.4	−1.4	17.8	9.1	24.1[2]
4	Output of machinery	5.0	0.9	4.7	7.1	10.0	1.3[2]
5	Output of metals and metal goods	−2.9	2.0	3.9	0.9	9.4	12.5[2]
6	Building and construction						
	Current prices	—	1.3	0.6	4.4	12.6	17.7[1]
	1958 prices	−2.9	−1.3	−0.6	3.3	8.1	7.0[1]
	Public	0.4	7.1	2.5	3.6	8.8	..
	Residential	−1.5	−1.2	−2.7	3.6	12.2	..
	Other	−7.5	−9.7	−1.3	2.5	2.0	..
7	Dwellings completed[4]	7.8	−5.0	−5.9	−4.1	6.7	11.6[3]
8	Dwellings under construction in June[4]	−9.8	−9.6	−11.4	−4.8	15.5	10.4
9	Dwelling permits issued[4]	−21.4	3.4	−10.9	19.5	22.9	9.9[3]
10	Volume of industrial projects inspected under labour law	−25.3	1.3	−2.2	15.1	35.8	27.4[2]

1 Semi-official November estimates.
2 January-September.
3 January-June.
4 Communes of more than 2 000 inhabitants.

Source: La Vie économique. Items 1, 2 and 6 come from national account statistics; item 3 from foreign trade statistics; items 4 and 5 from industrial output statistics and items 7 to 10 from current statistics on construction.

little in the first three quarters of 1970[1] and increasing recourse was made to foreign supplies. Despite a relatively sharp slowdown in the summer, imports of investment goods may have risen in volume by over 20 per cent in 1970, a rate unparalleled since the 1960-61 boom. The process of capital deepening has been accompanied over the last two years by some acceleration in capital widening as well. Investment in construction by industry and trade increased by some 9 per cent in volume in 1969, and a further large expansion probably took place in 1970; industrial construction projects announced at the beginning of the year were, in value, some 30 per cent higher than those of a year earlier. These are usually good indicators of actual outlays, and even if prices in the construction sector are climbing rapidly, a volume increase of between 10 and 15 per cent seems likely. In view of the shortage of manpower, the reasons for the revival of construction activity may not be as evident as those that have stimulated equipment investment. But it should be remembered that, in contrast to the years 1960 to 1964 when both forms of capital formation had grown by some

1 Unless otherwise stated, the growth rates given in the text refer to changes with respect to the corresponding period of the previous year.

60 per cent, between 1964 and 1969 investment in machinery increased by some 20 per cent, while investment in industrial construction fell by nearly 15 per cent. The continuous development of the former could therefore be expected to create the need for the latter insofar as existing installations were becoming inadequate.

Residential construction, which rose rapidly through 1969 and the first half of 1970, seems to have slowed down more recently, despite an apparently large demand backlog. Permits issued for dwelling construction in towns with more than 10 000 inhabitants, which in the first and second quarters of 1970 had been growing rapidly (31 and 14 per cent respectively), declined by some 20 per cent in the July-November period. In smaller towns for which only half-yearly data are available the deceleration is also marked. While in the second half of 1969 new permits had still risen by 21 per cent, in the first half of 1970 they stayed at the previous year's level. The rate of completions has slowed down as well, but not as sharply. Credit restrictions and higher mortgage rates and construction costs are probably affecting this branch at present. It is likely, however, that the problems of the house-building sector owe more to a relatively rapid process of urbanisation in conditions of severely limited labour and land supplies.

Household consumption seems to have so far lagged behind the more dynamic elements of demand. Retail sales, in value terms, expanded by some 7½ per cent in the first eleven months of 1970, a rate not much faster than the one recorded in 1969, in spite of more rapid price increases. On a seasonally adjusted basis they were almost flat between February and September, though some acceleration took place at end-year. Imports of consumer goods have risen rapidly (12 per cent in volume in the first nine months of 1970), but their growth rate had been more rapid in 1969. And the increases registered in the first ten months of the year by the hotel industry with respect to Swiss travellers were only modest. The sluggishness of these (rather partial) indicators may seem somewhat surprising given that wage increases have been accelerating. But evidence for many other components of private consumption is lacking and direct taxation payments by households have probably been increasing rapidly. Indeed the growth of disposable household income, according to semi-official estimates, may have been only slightly faster than in 1969 and the savings rate may have fallen somewhat.

Throughout 1969 and the first half of 1970 supply reacted with remarkable elasticity to the growth of demand. Though imports rose at unprecedented rates, domestic employment, output and productivity also increased quite substantially. Total employment (excluding the government and agricultural sectors for which no recent data are available), rose by 1.2 per cent in 1969 and by a further 1.3 per cent in the first three quarters of 1970. Since the normal long-term growth of the labour force has been semi-officially estimated at ½ per cent per year or slightly more, and since the latest foreign labour regulations (see below page 17) seem to have succeeded in stabilizing the number of foreign workers under control[1],

1 Some 15 000 foreign workers were, however, released from control and admitted to permanent residence.

it is likely that female and part-time employment have increased. Moreover, the normal shift of labour from agriculture may have accelerated in a period of increasing tensions on the labour market.

Output per employed person has also risen relatively fast—over 4½ per cent in 1969, though less, probably, in 1970. In industry alone the increases were a good deal steeper: over 8 per cent in 1969 and nearly 5 per cent in the first three quarters of 1970, though such figures are less reliable given the nature of the industrial production index[1]. Adjusting very tentatively for the possible degree of overestimation contained in the industrial production index, the rises in productivity may work out at some 6 per cent in 1969 and perhaps 3½ per cent in the first nine months of 1970. The existence of some spare capacity in 1969 and the relatively large volume of investment carried out in that year and in 1970 were probably the main elements responsible for the continuing increase in average labour productivity.

Table 4 **Growth and Productivity**

Percentage changes from previous year

	1965	1966	1967	1968	1969	1970
GDP at constant prices	3.6	2.4	1.7	3.8	5.8	4.5[1]
Index of total employment	−0.8	−0.5	−0.1	0.4	1.2	1.2[1]
GDP per employed	4.4	2.9	1.8	3.4	4.5	3.3[1]
Industrial production	3.8	3.7	3.6	4.3	9.1	5.5[2]
Index of employment in industry	−1.4	−1.4	−0.6	0.3	0.7	0.8[2]
Gross industrial output per employed	5.3	5.2	4.2	4.0	8.4	4.7[2]
Average weekly hours worked	−1.1	−0.2	−0.4	—	0.2	—[2]
Gross industrial output per work-hour	6.5	5.4	4.6	4.0	8.2	4.7[2]
Hourly average earnings (workers only)	7.5	7.7	6.4	4.9	6.1	(7)[2]
Wage costs per unit of gross output	0.9	2.2	1.7	0.9	−2.0	(2)[2]

1 Semi-official November estimates.
2 January-September.

Source : La Vie économique.

NOTE The figures shown for the industrial sector are not very reliable indicators and should be used with caution. The Swiss industrial production index measures changes on the basis of gross output and deliveries rather than value added data.

Increased labour mobility within the industrial sector may also have contributed to higher productivity. Table 5 shows that employment shifts between industries were more pronounced in the first three quarters of 1970 than they had been between 1967 and 1969. The food and textile industries for instance lost labour relatively rapidly in the recent period, while in the metal, machinery and watch industries total employment rose as fast or faster than it did in the two preceding years. Judging by the information available on workers' hourly wage earnings in various sectors of the economy, it appears that, on the whole, the movement of labour has been from relatively low to relatively higher paid jobs, suggesting

1 See footnote to Table 4.

that average productivity may have risen as a result of these shifts. The increase in employment has slowed down recently, notably in industry. Thus the index for total employment in the industrial sector, which had risen by nearly 1½ per cent in the first quarter of 1970 and still almost 1 per cent in the second, showed hardly any increase in the third. In the tertiary sector, on the other hand, and especially in banking, employment has continued to rise quite rapidly.

Table 5 **Indicators of Employment**

A Total employment[1]

	Weight 1966 3rd qtr.	Percentage changes	
		1967 to 1969 (average annual rate)	First three quarters 1969 to 1970
Total employment	100.0	0.8	1.3
Industry	51.5	0.5	0.8
of which:			
Food and Beverages	5.4	−0.3	−1.2
Textiles and Clothing	7.5	−1.4	−2.7
Chemicals	2.6	5.4	5.2
Metals and Machinery	22.3	0.9	1.5
Watches	3.5	1.2	5.0
Construction	13.2	−0.7	1.2
Services	33.7	1.8	2.1
of which:			
Banking	1.7	9.5	12.1
Hotels and Catering	3.2	—	−0.6

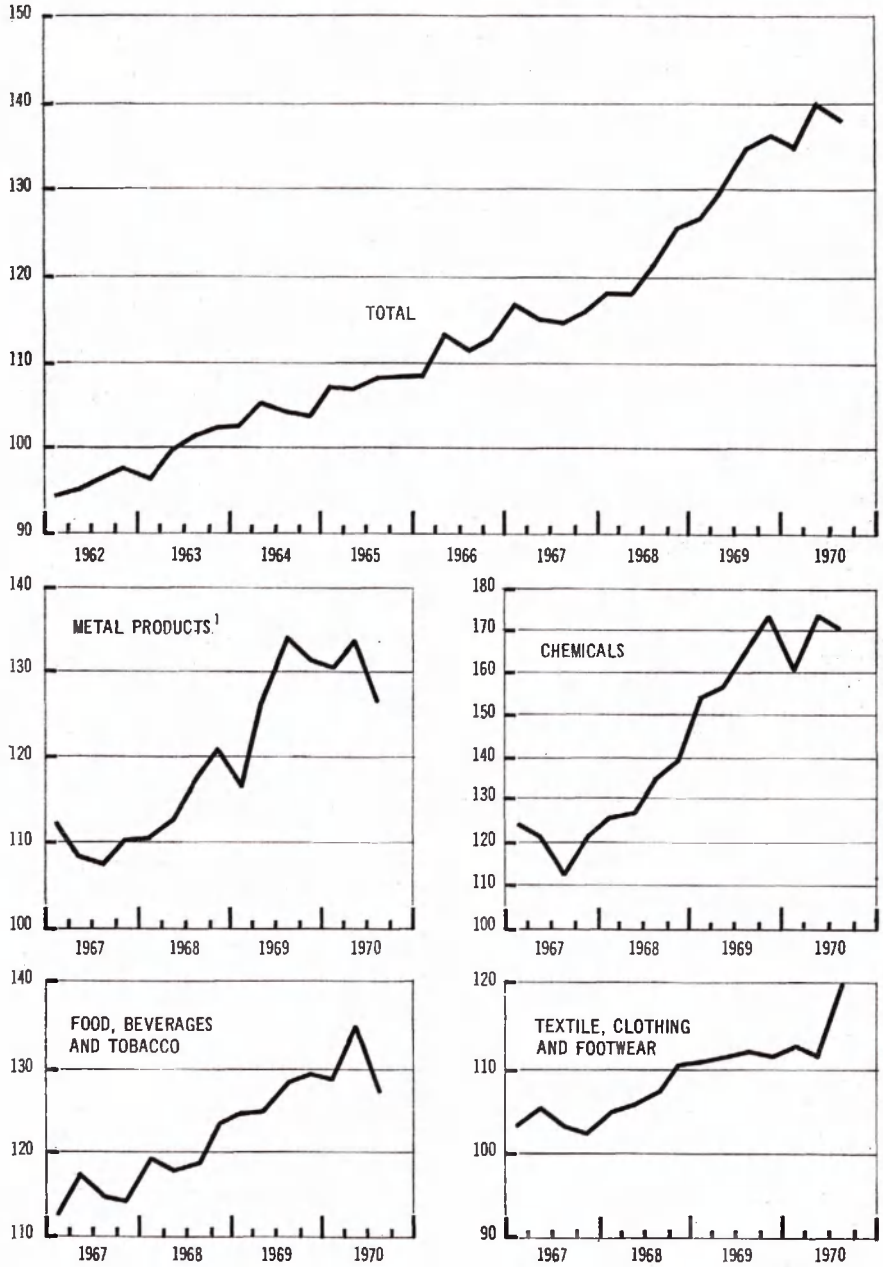
B Employment of foreign labour[2]

	Weight in August 1966	Percentage changes	
		August 1967 to 1969 (average annual rate)	August 1969 to 1970
Total employment	100.0	0.9	—
of which:			
Food and Beverages	3.6	−0.8	−4.7
Textiles and Clothing	11.3	−0.5	−4.8
Chemicals	1.4	7.2	4.7
Metals and Machinery	19.1	0.6	0.7
Watches	1.9	9.3	6.4
Construction	24.8	−1.3	−0.4
Hotels and Catering	11.4	0.8	−0.6

1 Excluding Agriculture and the Public Sector.
2 On the basis of the August census.

Source : La Vie économique.

Diagram 1 **Industrial production**
1963 = 100, seasonally adjusted



1 Including machinery.

Source : OECD, Industrial Production.

Given the absence of recent official figures[1], the contributions of the various sectors of the economy to the growth of output are difficult to estimate. Industrial production, which has been rising strongly since mid-1968 slowed down at the turn of 1969. Stronger expansion was resumed in the second quarter of 1970 but a renewed deceleration set in in the third. Judging by the rapid increase of the labour force in service activities, the contribution of the tertiary sector may have risen. Available indicators point to a much higher activity in the construction sector, and to some growth in agricultural supplies, following almost no expansion in 1969.

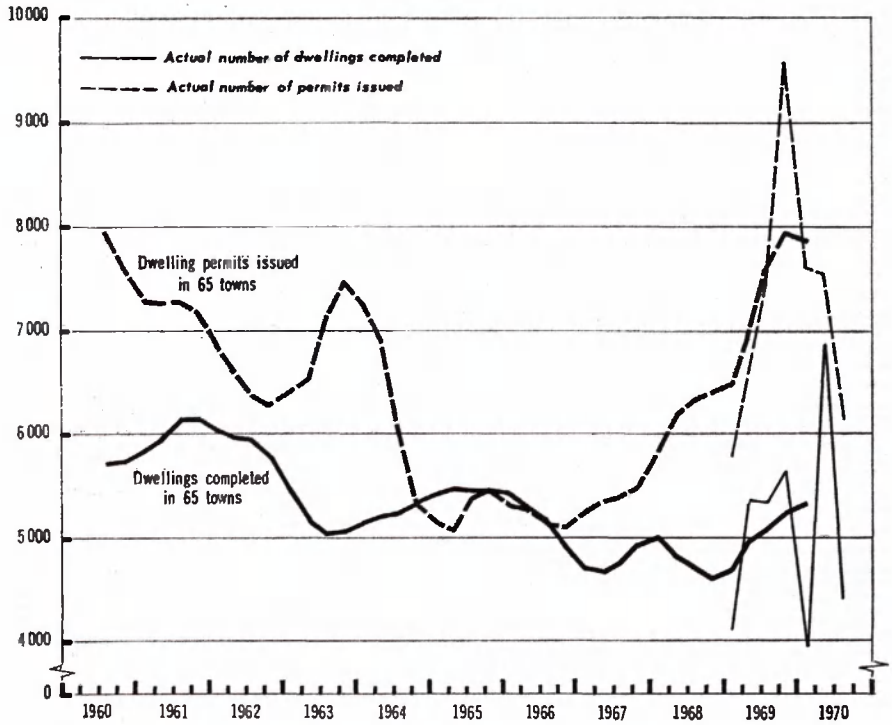
Recent statistical evidence is difficult to interpret. On the one hand signs of slowdown seem to have appeared in both demand and supply indicators. The new order inflow into industry has decelerated and though the order backlog, notably in the machinery industry, is still very high, it is now declining or, at best, remaining constant. Stock accumulation, which had probably been very rapid at the turn of 1969, may have slowed down since entrepreneurs view present levels as satisfactory. Judging by foreign trade and output flows, investment in equipment may have decelerated and private consumption was not until recently particularly buoyant. Moreover, demand for construction has clearly slowed down. On the other hand, tensions on the labour market continued and even probably increased. As is well known, Switzerland has enjoyed for a long time almost literally full employment conditions. In the past the adjustment of labour supply to cyclical fluctuations in the economy worked mainly through workers' immigration. This mechanism is now severely limited by the foreign labour regulations. The latest data show less than 100 fully unemployed and some 200 job seekers compared with a labour force of around 3 million. Vacancies offered have been at levels not reached since 1965 and though their number has not increased recently, this may reflect more a disinclination on the part of employers to advertise vacancies for which nobody is available, than a genuine deceleration in the demand for labour. The assessment of present and future activities in industry, according to business surveys, remains optimistic and the retail trade expects a pick-up in its turnover. The very large gap between housing permits issues and completions suggests the presence of a relatively large volume of unsatisfied demand. Hence the growth of activity in the construction sector is unlikely to decelerate unless capacity constraints were to increase. The recent slowdown in the delivery of new permits may thus partly reflect a reaction to a very inelastic supply.

Prices and Wages

The very tight labour market situation and the buoyancy of demand had little effect on the economy's price performance until mid-1970. In the summer, however, consumer prices began to accelerate and continuing, fairly rapid, increases are likely in the near future. Even so, Switzerland

1 Official data for GDP by industrial origin are not available on a regular basis. Estimates have been published for two years only: 1964 and 1967. See Statistical Annex, Table D.

Diagram 2 **Indicators of Residential construction**
Recentered four-quarter moving averages



Source : La Vie économique.

has been noticeable for its relative price stability throughout 1969 and the first half of 1970. Wholesale prices, on the other hand, rose fairly rapidly from mid-1969 onwards, but their rate of increase slowed down quite sharply in mid-1970.

Developments abroad were primarily responsible for the earlier acceleration in wholesale prices and for the subsequent pick-up in the consumer price index. The Deutschmark revaluation[1] and the general

1 Some 30 per cent of Swiss imports come from Germany. Between the third quarters of 1969 and 1970 German export average values (expressed in foreign currency) rose by over 11 per cent. And for investment goods, of which over 40 per cent come from Germany, the increase was of the order of 13 per cent. It is unlikely, on the other hand, that any beneficial effects on prices came from the franc devaluation. For the asymmetrical behaviour of French and German exporters following the parity changes, see OECD, *Economic Outlook,* No. 7, July 1970, p. 8.

increase in international trade prices, notably for fuels and iron and steel products, pushed up the import component of the wholesale price index from mid-1969 onwards. Domestic wholesale prices seem to have followed with a lag of one quarter, and consumer prices with one of six to nine months. But at least until recently, price increases appear to have reflected mainly the mechanical impact of foreign developments with little contribution coming from the domestic sector.

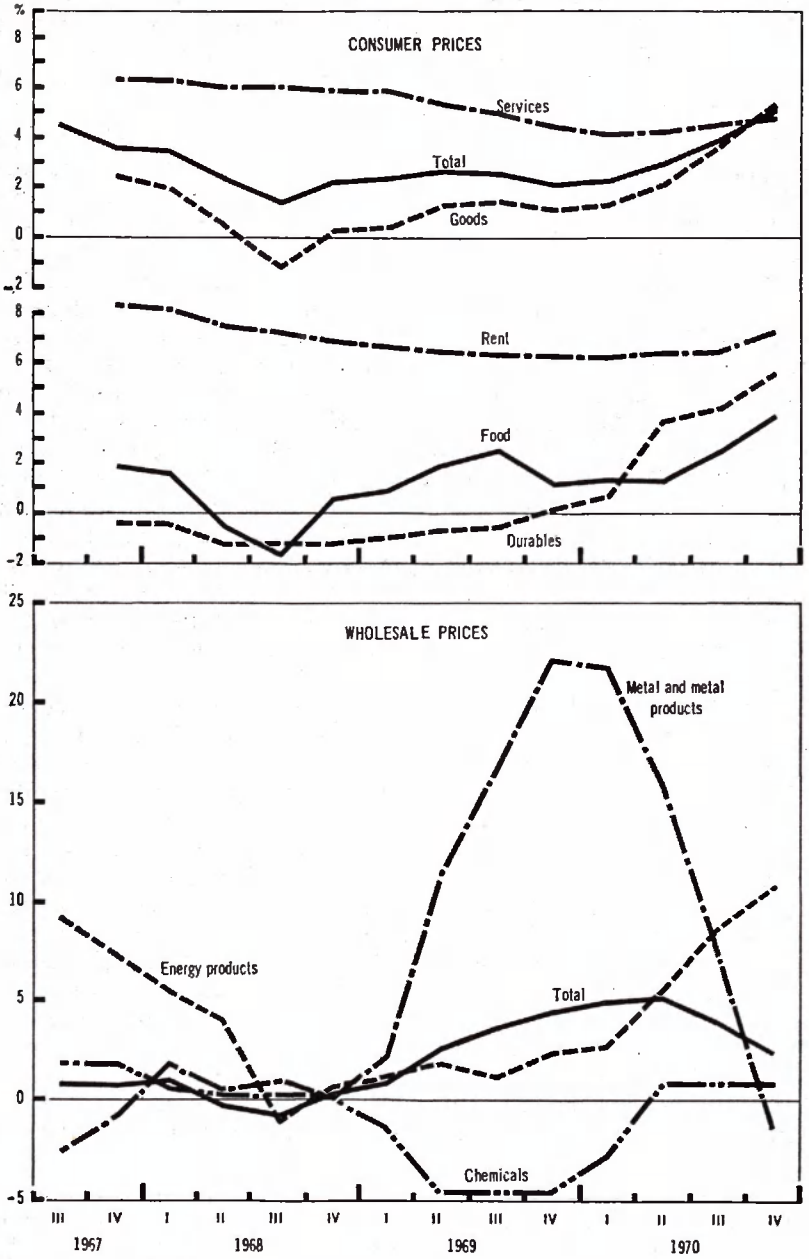
There are several reasons that could explain the relatively favourable development of Swiss prices viewed both with respect to price experience abroad and the very strong demand pressure at home[1]. Wage increases were quite modest throughout 1969 and the fall in industry's unit labour costs, which seems to have taken place according to the rather rough estimates shown in Table 4, has probably played a large role in tempering price behaviour. Moreover, the tertiary sector may have registered a substantial productivity increase, judging by the deceleration witnessed by prices of services (other than rent), since the beginning of 1969. The continuation of a process, begun in 1967-68, designed to abolish resale price maintenance agreements between manufacturers and retailers has also contributed to dampen price pressures. The large spill-over of domestic demand into imports did not, on the other hand, help price performance in any tangible way since, as has been seen, import prices were rising extremely rapidly. But it is, of course, obvious that had imports not increased as strongly as they did, domestic prices would have in all likelihood risen a good deal faster, in view of supply bottlenecks. This can be seen in the construction sector where recourse to imports was almost impossible and where prices have risen at rates well above the average.

But the continuation of wholesale price increases of the order of 4 per cent or more for a good year, even if largely due to foreign developments, has inevitably led to repercussions throughout the economy which are beginning to be felt at present. Though the rise in wholesale prices has decelerated in recent months (in December the index was 2.1 per cent above the previous year's stand and its level had been stable since the spring) the growth of consumer prices has been accelerating of late (+5.4 per cent in both November and December). The sharp pick-up recorded in November with respect to October (+1.3 per cent) owes a lot to the incorporation in the index of the rent increases that had intervened since the spring. More generally, however, the year-to-year acceleration reflects sharp rises in the prices of heating oil (over 17 per cent) and a fairly widespread pick-up in most other components.

Thus, if with less virulence, Switzerland appears to have caught up with price developments in other countries. Inflation has been literally imported from abroad. The term "imported" inflation may indicate either

1 In 1961, year in which domestic demand probably rose faster than in 1970, the price performance was on balance, more favourable (increases of only 0.3 per cent in the wholesale price index and 1.8 in the consumer price index, though 4.3 for the GNP deflator). But import prices did not rise at all (while 1970 may have witnessed an increase of as much as 7 per cent) and the elasticity of supply was probably a good deal higher.

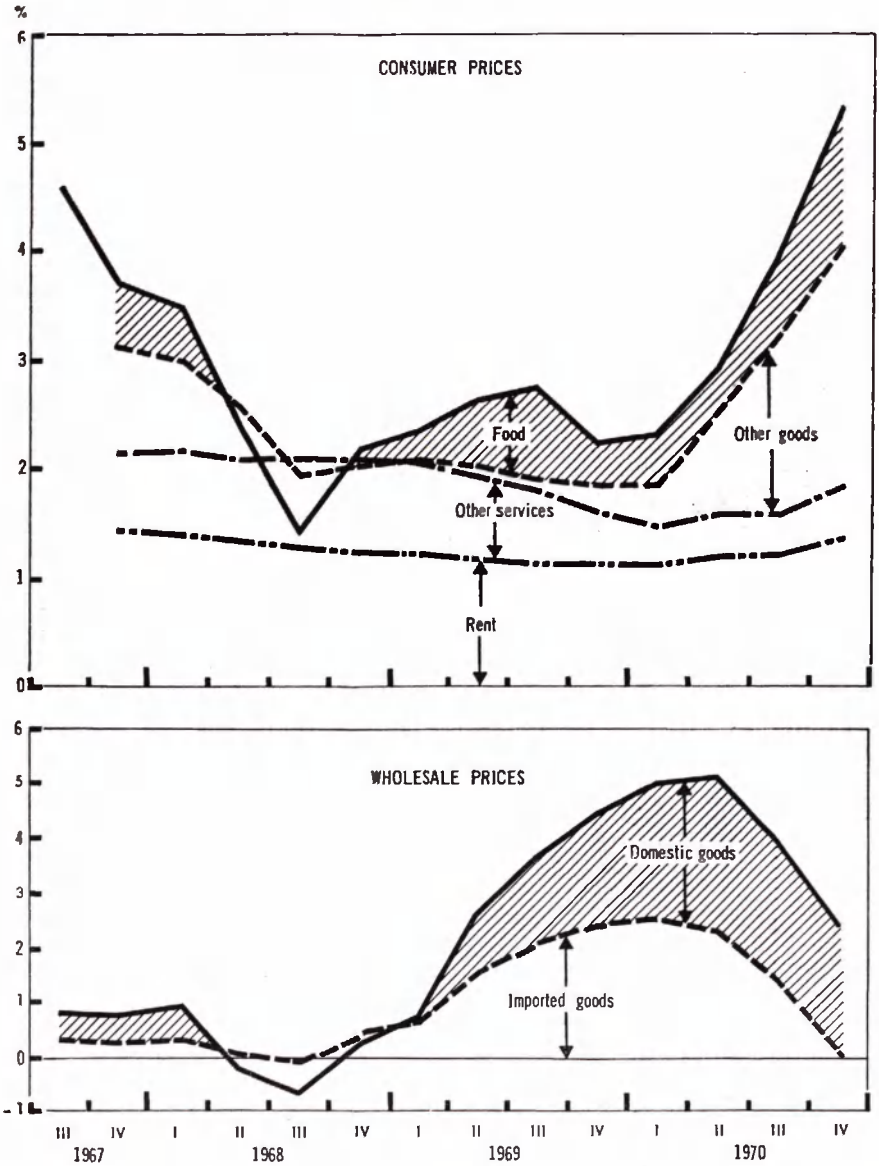
Diagram 3A **Prices**
Percentage changes from previous year



Source : La Vie économique.

Diagram 3B Prices

Contribution of selected items to the percentage change of the total index from the previous year



Source : La Vie économique.

NOTE The following example may clarify the method employed for deriving Diagram 3B: the item «food», for instance whose weight in the consumer price index is of 33.5 per cent, increased by 2.4 per cent between the third quarters of 1969 and 1970; it therefore contributed 0.8 per cent to the 4 per cent increase in the total index.

the wage and price reactions following increasing foreign demand for exports or the direct impact of rising world prices on imported inputs. In Switzerland's case buoyant foreign demand was of prime importance in pulling up the economy from the 1967 slowdown and though indirectly this had consequences on prices, the direct impact was small. Import price increases of the order of 7 per cent or more as registered from end-1969 onwards, were, on the other hand, bound to have repercussions on domestic prices, given the high share of foreign products in total supply. What has been remarkable is the rather long lag it took for these repercussions to have an effect on the domestic consumer price level.

Mainly as a consequence of price developments, wage rates have risen much more rapidly since the beginning of 1970[1] (Table 6) and unit labour costs are probably rising at present. Though it is understood that wage contracts are not usually associated with indexation clauses, price increases are almost always implicitly taken into account. The already-mentioned increase in labour mobility may also indicate that employers have been bidding for workers, thus adding to wage-drift. Though the increases in Swiss wage rates are at present below those registered in most other Member countries[2], some form of price-wage spiral is now setting in. The recent policy measures taken by the authorities on the labour market with regard to foreign workers, though essentially dictated by non-economic motives, may, on balance, also have contributed to the pressure on wages.

Table 6 **Wages**

Percentage changes from previous year

	1968		1969				1970		
	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.
Wage rates[1]	4.1	4.1	4.3	4.4	4.5	4.1	5.1	5.7	6.7
Consumer prices	2.4	1.4	2.4	2.7	2.7	2.2	2.3	3.0	4.0
Real wage rates	1.7	2.7	1.8	1.7	1.8	1.8	2.7	2.6	2.6

1 In industry and construction.

Source : La Vie économique.

In March 1970, the previous ceilings on enterprises' recruitment of foreigners were replaced by a global ceiling which limits to 40 000 the number of new permits issued per year and to 152 000 the total of seasonal workers admitted each year. The number of border workers, as was already the case, is not subject to restriction. Liberalization measures

1 Though the rise in real wages appears to have been rather modest.

2 But the construction workers have obtained a wage increase of some 12 per cent on 1st January 1971. Moreover a large number of contracts are re-negotiated at the beginning of the year and it is believed that wage increases are now of the order of 10 per cent.

were taken in favour of already-established foreign workers who are now allowed to change residence after one year, and profession after three years of stay in Switzerland. The main aim of the new policy is to stabilize the total number of foreign workers in the country. Judging by the results of the August 1970 census, this target seems to have been achieved. But the effect of the new policies may have contributed to wage increases since labour supply has been restricted, notably in sectors like building or tourism heavily dependent on foreign workers and subject to increasing domestic or foreign demand pressures. The increased degree of labour mobility permitted by the new measures should on the other hand have contributed to the growth of the economy, but in the short run it may have led to competitive wage bidding by employers. It is difficult to judge whether the resulting improvements in productivity have more than outstripped the likely wage increases.

Table 7 **Foreign workers subject to control**

August census[1]

Thousands

	1965	1966	1967	1968	1969	1970
Total	676	649	648	648	659	659
Seasonal	184	165	154	144	149	155
Non-seasonal	446	436	436	441	443	430
Border workers	46	48	59	63	67	75

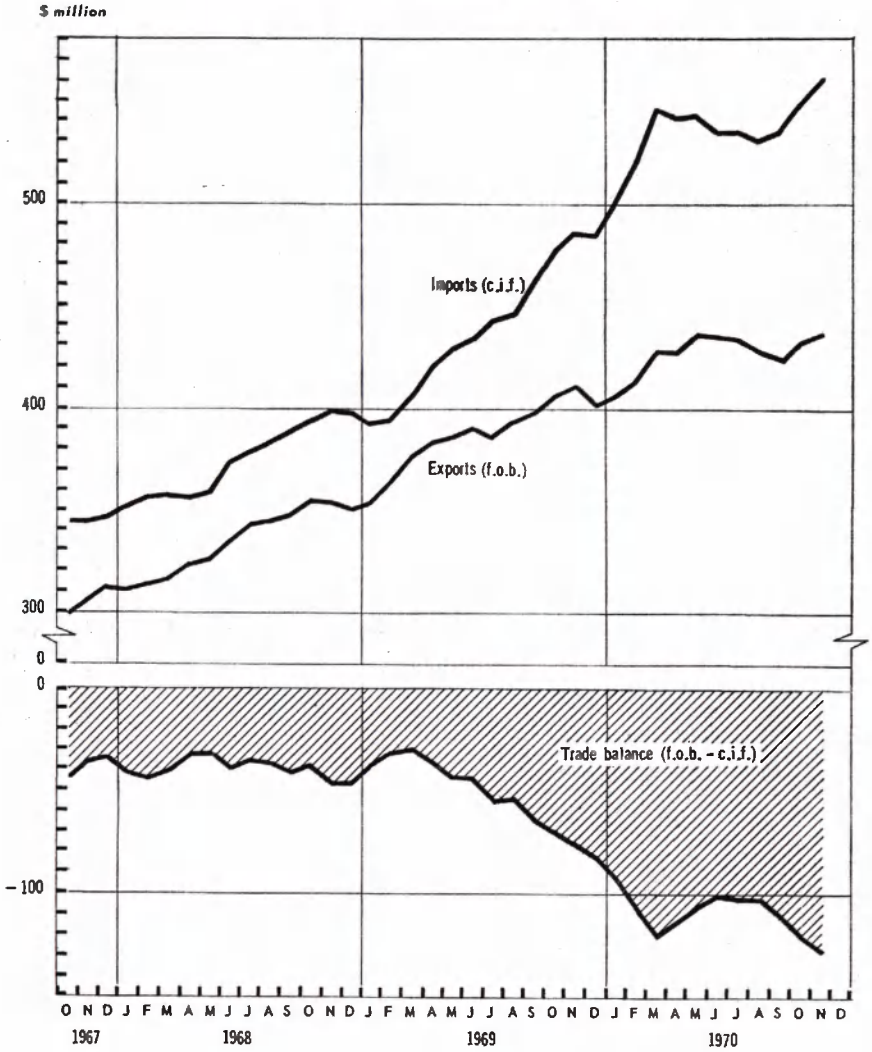
1 Since 1969, the February census has been discontinued and replaced by a census in April whose figures are not comparable with the pre-1969 February data.

Source : La Vie économique.

Foreign Trade and Payments

As already noticed, the strong expansion of demand has been boosting imports since approximately mid-1969. The value of imports, which had already risen by 17 per cent in 1969, has grown by a further 22½ per cent in 1970. The expansion was extremely buoyant at the turn of 1969, when the effects of the Deutschmark revaluation on import prices coincided with rapid stock accumulation at home, but has abated in the course of 1970. Seasonally adjusted figures suggest that imports fell back for a time from the peak reached in March but a renewed pick-up has been noticeable in the fourth quarter. A weaker trend in import prices and a reaction to previous rapid stock accumulation are likely to have affected import growth in the course of 1970. And though the import content of exports is not known, the deceleration in sales abroad may also have been partly responsible for the slowdown. All import categories were affected by the sharp increase round the turn of the year and by the

Diagram 4 **Foreign Trade**
Seasonally adjusted, three-month moving averages



Source : OECD, Main economic indicators.

subsequent deceleration, but investment goods seem to have remained the most dynamic element, while imports of consumer goods have followed a weaker trend.

The value of exports, which had grown strongly (around 15 per cent) in both 1968 and 1969 has registered a further rise of about 11 per cent in 1970, but the growth rate within the year seems to have decelerated.

Table 8 **Foreign Trade by Commodity Groups**
Percentage changes from previous year

	1968 value US $ million	1967	1968	1969	1970		
					Year	Jan.-June	July-Dec.
	Imports c.i.f.						
Raw materials and semi-finished goods	1 954	2.7	6.0	20.7	22.8	32.1	14.6
Lubricants and fuels	286	8.2	17.0	0.1	18.0	6.7	29.0
Investment goods	801	0.8	17.9	12.6	34.9	46.5	25.7
— excluding aircraft	704	0.5	10.2	19.9	36.3	46.8	29.4
Consumption goods	1 460	8.8	7.9	17.8	16.6	19.5	14.0
Total	4 501	4.6	9.2	17.0	22.6	28.8	17.1
	Exports f.o.b.						
Raw materials and semi-finished goods	1 547	5.4	15.2	16.0	6.5	10.9	2.2
Investment goods	1 254	7.2	13.9	17.2	15.6	18.1	13.4
Consumption goods	1 219	8.1	14.0	12.5	10.8	14.9	7.4
Total	4 020	6.8	14.4	15.3	10.6	14.3	7.4

Source : La Vie économique.

Sales to France and the United States have slowed down somewhat, but exports to Germany have been particularly affected: following increases of 23 per cent in 1969 and 12 per cent in the first half of 1970, the July-November period witnessed an expansion of only 4 per cent[1]. Secretariat calculations show that in 1968 Swiss exports had been able to gain shares in foreign markets, while 1969 saw some losses[2]. According to tentative estimates, an even higher loss (possibly around 6 per cent of Swiss exports) may have been recorded in 1970. But it is probably true to say that such a performance was due more to cyclical factors, notably capacity bottlenecks at home, than to a decline in underlying competitiveness on the part of Swiss exporters. Some shift of factors of production and of domestic supply may also have taken place from the foreign to the internal market. In the three years since 1967 Swiss export markets have expanded by more than 50 per cent. It was clearly extremely difficult, in conditions of rapid domestic expansion, to keep pace with such a rise in foreign demand. Looking at commodity groups, the chemical industry appears

1 Accidental factors may, however, have somewhat distorted these figures since German import data (expressed in foreign currency) show a much more moderate slowdown in Swiss sales in this period.

Gains or losses in market shares are defined as the difference between actual Swiss exports and the exports that would have occurred had Switzerland retained its share in OECD exports to each of 19 regional markets.

to have been particularly dynamic in 1969 with an export growth rate of some 21 per cent (and even more in volume) but in the first ten months of 1970 the rate decelerated to some 10 per cent. It is possible that such a slowdown may have been caused by the changing location policies of some large chemical firms which have been transferring production abroad in view of growing labour shortages in Switzerland. The large group of non-electrical machinery and the much smaller one of manufactured tobaccos both registered above average rates of export increase, the latter even accelerating in the course of 1970.

In 1969, for the first time since 1957, Switzerland's terms of trade deteriorated, reflecting not only a sharp increase in import prices but also a below average growth of export prices, somewhat surprising in a period of strong tensions on world markets. Chemicals' export prices fell (−13 per cent year-on-year) and prices of investment goods rose only modestly[1]. In 1970, export prices have grown rapidly, while the rate of growth of import prices, after a surge at the turn of the year has declined quite markedly. The general buoyancy of world market prices and the DM revaluation were largely responsible for the rise in import prices. Iron and steel prices rose particularly sharply: in the first half of 1970 they were some 34 per cent above the previous year's level. The falls that metal and raw material quotations have registered since then on world markets have however influenced Swiss import prices. By the second quarter of 1970 the deterioration in the terms of trade had been halted and the third quarter saw a strong improvement.

Table 9 **Foreign Trade Prices**
Indices, 1967 = 100

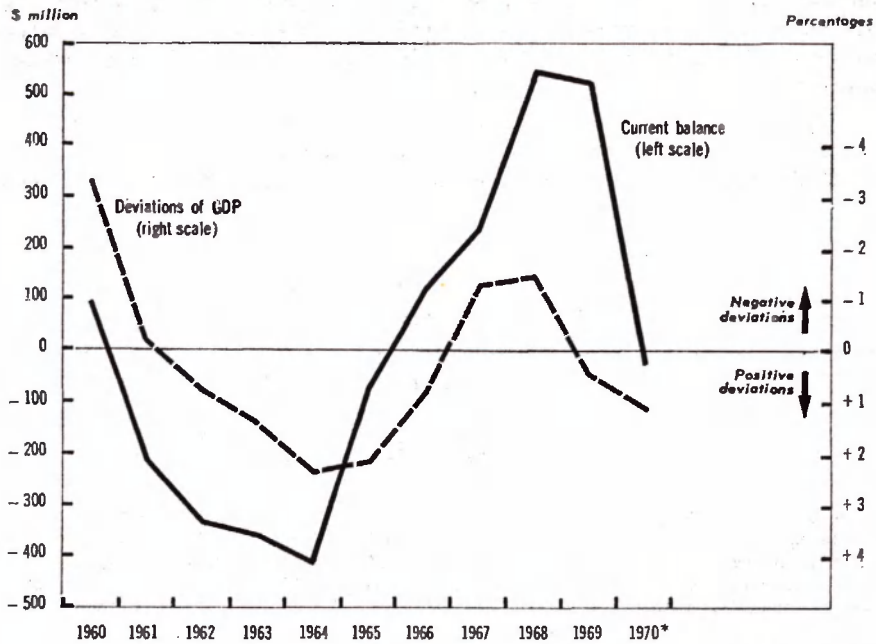
	1968	1969	1969	1970		
			4th qtr.	1st qtr.	2nd qtr.	3rd qtr.
Import prices	100.6	103.8	107.5	110.8	111.9	112.9
Export prices	103.1	104.4	106.9	107.1	108.9	113.5
Terms of trade	102.5	100.6	99.4	96.7	97.3	100.5

Source : La Vie économique.

The invisibles surplus seems to have been affected more by foreign than by domestic demand developments. Detailed data for 1970 are not yet available. But the services balance may have increased by some 900 million Swiss francs or 200 million dollars to perhaps $1.7 billion[2]. The flow of foreign tourists has increased, notably from the US, Britain and Germany. As for the investment income account, it should

1 It should, however, be mentioned that Swiss foreign trade price indices may not be very reliable since they are based on a somewhat outdated weighting pattern.
2 Excluding freight on imports.

Diagram 5 Current balance and deviations of GDP from trend



* Estimates.

NOTE The trend growth rate of GDP from which deviations were calculated, has been put at 4.0 per cent for the period 1960-1965 and at 3.8 per cent thereafter.

have benefited from the relatively large capital outflow witnessed in 1969 ($½ billion) and the fact that foreign interest rates, though coming down lately, have remained at high levels. Unilateral transfers from Switzerland have probably risen as well, but their increase may have been more modest than in the past in view of the stabilization of the foreign labour force.

For the year 1970 as a whole, the current account was probably in approximate equilibrium. The change from the large surplus of 1969 can be put at some $500-550 million (about 2½ billion Swiss Francs) or 3 per cent of GNP, representing a swing of unprecedented magnitude for almost any country. To some extent, it reflects a worsening of the terms of trade[1]. But even in volume, according to tentative national accounts estimates, the deterioration in the foreign balance accounts for some 2 per cent of 1969 GNP. Such a swing is somewhat surprising in view of the

1 The mere fact that Germany provides some 30 per cent of Swiss imports but takes in only about 15 per cent of Swiss exports suggests that the revaluation of the Deutschmark was an important factor in the deterioration of the terms of trade.

earlier apparently persistent character of Switzerland's considerable current surplus. It is too early to say whether developments in 1970 reflect a change in previous trends or a somewhat exceptional outcome induced by the combination of strong domestic demand pressures and developments abroad[1].

In 1970, in contrast to 1969, there has been a capital inflow into Switzerland[2]. Indeed the change in the capital account has more than offset the swing of the current balance. Disregarding the effect of swap

Table 10 **Balance of Payments**

$ million

	1968		1969		1970	
	1st half	2nd half	1st half	2nd half	1st half	2nd half
Trade balance (fob-fob)	−110	−40	−115	−125	−475	−450
Invisibles, net	350	345	365	400	400	500
Current balance	240	305	250	275	−75	50
Capital movements[1]	−267	349	−1 023	507	27	687
Balance on official settlements	−27	654	−773	782	−48	737
Memorandum items:						
Adjusted for end-of-period swap operations[2]						
Capital movements	−588	35	−530	−32	340	52
Balance on official settlements	−348	340	−280	243	265	102

1 Obtained by difference — Includes errors and omissions.
2 Between the commercial banks and the Swiss National Bank.

Sources: BIS sources for balance on official settlements; Secretariat estimates for all other figures.

transactions, official gold and foreign exchange reserves rose by nearly $400 million. Hence there appears to have been a swing of roughly $1 billion on capital account between 1969 and 1970. This shift has been mainly due to the repatriation of funds held on the Euro-dollar market by the commercial banks (both for their own and for their customers' account) and by the narrowing of the gap between domestic and

1 Diagram 5, which relates a rough proxy for demand pressures in the economy with the current balance, suggests that, though a relatively close relationship has existed in the past between the two series, the extent of the 1970 deterioration may, prima facie, go beyond previous experience.

2 Comprehensive official data on capital movements are not available. The figures referred to in this paragraph (and shown in Table 10) have been obtained as the difference between the current account and the balance on official settlements.

foreign interest rates. While Swiss banks had been depleting their domestic availabilities in both 1968 and 1969 in order to profit from the high rates obtainable on the Euro-dollar market, in 1970 they felt the need to strengthen their domestic position, partly because the inflow of deposits from non-banks was decelerating. Moreover the decline in Euro-dollar rates in the course of the year, coupled with the rise in Swiss rates[1], also encouraged the withdrawal of both short and long-term funds held abroad. It is also likely that, partly in view of the quantitative credit restrictions, private firms repatriated foreign assets in order to finance their investment plans. Finally the swing in the capital account has also reflected, if only to a small extent ($70 million for the whole year), the restriction of foreign bond flotations introduced in 1970 to alleviate pressures on the Swiss capital market and, probably, a change in net foreign trade credits, inversely related to the deterioration in the trade balance.

II ECONOMIC POLICY

The main concern of the authorities has been to dampen the strong growth of demand and hence to moderate, as far as possible, the acceleration of prices. Exports first and investment later were thought to be the main elements behind the expansion and action was concentrated on them. At the beginning of 1970 the Federal Council proposed a temporary 5 per cent deposit on the value of exports to dampen export growth. But the measure obtained Parliamentary ratification only in June and became enforceable on 1st October 1970. By that time it was felt that domestic rather than foreign demand developments were responsible for the strong pressure on resources[2]. Thus, while the Government retains the power to use this device, it announced that it would not apply it in present circumstances. Since the balance of payments situation did not act as a constraint, other policy measures were taken in the foreign trade field. It was decided to advance the last three stages of the Kennedy round tariff reductions to 1st March 1970[3]. The credit restrictions imposed on 1st September 1969 were applied to the financing of exports but not of imports. Similarly, the volume of export credit guarantees newly extended appears to have declined in 1970. The selective action attempted or taken in the field of foreign trade probably helped to channel some excess demand into imports. But demand management policies proved

1 In the closing months of 1970 short-term Swiss franc investments placed on the Euro-currency market were earning less than equivalent time deposits at home.

2 Legislation was also proposed at the beginning of 1970 for reforming the "Currency Law". A project was passed by the Conseil National in October 1970 empowering the Government to modify the constitutionally-fixed parity of the Swiss franc in consultation with the directorate of the National Bank. The proposals were approved by the Conseil des Etats in December, and are expected to come into force by March 1971.

3 Import duties on industrial goods were thereby reduced by some 20 per cent.

insufficient to deal with the rapid growth of investment and the progressive acceleration of prices. The use of a flexible fiscal policy has been associated in Switzerland with well-known difficulties and has been further hampered by the generally felt necessity to continue public investment programmes in view of the country's needs for social and economic infrastructures. The alternative instrument of monetary policy was, therefore, made to bear the brunt of adjustment.

Monetarv policy

The initial measures of monetary restraint taken in September-October 1969[1] were subsequently reinforced. In January 1970 the previously permitted rate of growth of credit was reduced for the period 1st February 1970—31st January 1971 by 15 per cent[2], and the credit ceillings originally applicable for one year only were extended until 31st July 1971, with the same quantitative restrictions as those applying at present[3].

Since in the Swiss banking system the granting of credits usually precedes their actual use by the beneficiaries by a lag of six months or more, depending on the type of credit, the restrictions were slow to bite at first. Thus credit for domestic use[4] rose faster in the first six months of credit restrictions (from end-July 1969 to end-January 1970) than in the corresponding period of the previous years. But a fairly marked deceleration set in later in 1970 and the growth of credit slowed down quite sharply. To some extent this deceleration reflects the very strong credit expansion that had taken place in mid-1969, but it also suggests that the measures have forced banks to restrict their activities. This was especially so for large banks whose loans had risen more than proportionately prior to the limitations, while smaller credit institutions were able, at times, even to accelerate the expansion in their credits. Thus the growth in loans for mortgages (which represent some 50 per cent of the total assets of cantonal and local banks) fell less, for instance, than lending for other purposes essentially extended by the largest commercial banks.

All in all, it would appear that with some lag lending activity has been affected, and investment plans in sectors depending on bank credit should now react to the tighter monetary policy. As already mentioned, however, 1970 saw a repatriation of funds from abroad both by private

1 See the OECD Annual Survey of Switzerland, January 1970, page 22.

2 The permitted growth rate of credit had been fixed at 9 per cent with, however, some exceptions, allowing a maximum expansion of 11¼ per cent for banks whose credit activity had been particularly dynamic in the two years preceding the ceilings' imposition.

3 It should also be mentioned that hire-purchase conditions were made somewhat more stringent in February 1970.

4 Credit extended for use abroad is not covered by the ceilings.

Table 11 **Selected Assets and Liabilities of 72 Banks**[1]

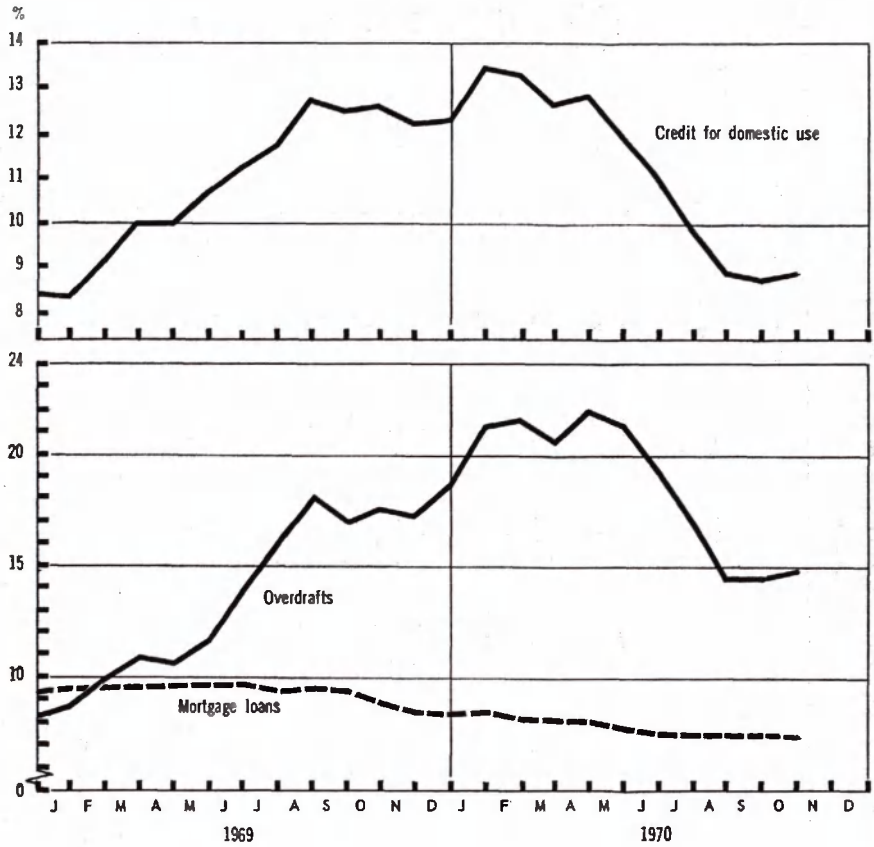
SF million

	End 1969	Increase (+) or decrease (—)								
		1967	1968	1969	Aug.-Jan. 1968-69	Aug.-Jan. 1969-70	Feb.-July 1969	Feb.-July 1970	Aug.-Oct. 1969	Aug.-Oct. 1970
Assets:										
Cash position	8 289	642	1 684	1 039	—668	—35	923	492	204	—418
Claims on banks	29 369	3 776	7 294	8 969	4 666	5 425	4 198	1 672	2 597	3 003
Lending to non-banks	86 063	6 143	6 811	10 352	3 964	4 491	6 192	4 247	2 845	1 406
Mortgages	35 176	1 992	2 732	2 654	1 583	1 388	1 304	1 105	673	672
Loans to public authorities	5 077	459	259	653	206	403	141	16	372	320
Other loans	40 107	2 791	3 643	7 338	1 563	2 275	5 442	3 209	1 382	565
Discount credits	5 703	901[2]	177	—293	612	425	—695	—83	418	—151
Liabilities:										
Liabilities to banks	16 885	2 595	5 023	3 503	3 151	1 526	3 556	1 501	773	2 116
Deposits from non-banks	78 852	4 641	8 334	14 520	3 622	7 332	6 878	3 434	5 184	2 465
Sight	21 964	1 186	2 685	2 994	611	1 782	783	920	2 008	1 111
Time	25 561	1 173	2 710	9 056	1 376	3 833	5 340	1 739	2 692	733
Savings and deposit accounts	31 327	2 282	2 939	2 470	1 635	1 717	755	775	484	621
Own bonds	27 261	2 793	3 021	2 232	1 783	874	1 100	622	269	440
of which: Medium term	17 037	2 147	2 325	1 591	1 235	456	843	73	191	151
Memorandum items:										
Incremental non-bank deposit/lending ratio	..	0.76	1.22	1.40	0.91	1.63	1.11	0.81	1.82	1.75
Net claims on banks	12 484	1 181	2 271	5 466	1 515	3 899	642	171	1 824	887
Credits extended for domestic use	72 298	..	4 972	7 912	2 617	3 974	4 583	2 826	1 982	1 414
(per cent change in period)	..	..	8.2	12.3	4.3	5.8	7.2	3.9	2.9	1.9

1 With a balance sheet of more than SF 100 million.
2 Including SF 260 million purchases of BIS promissory notes.

Source : Banque Nationale Suisse, Bulletin Mensuel.

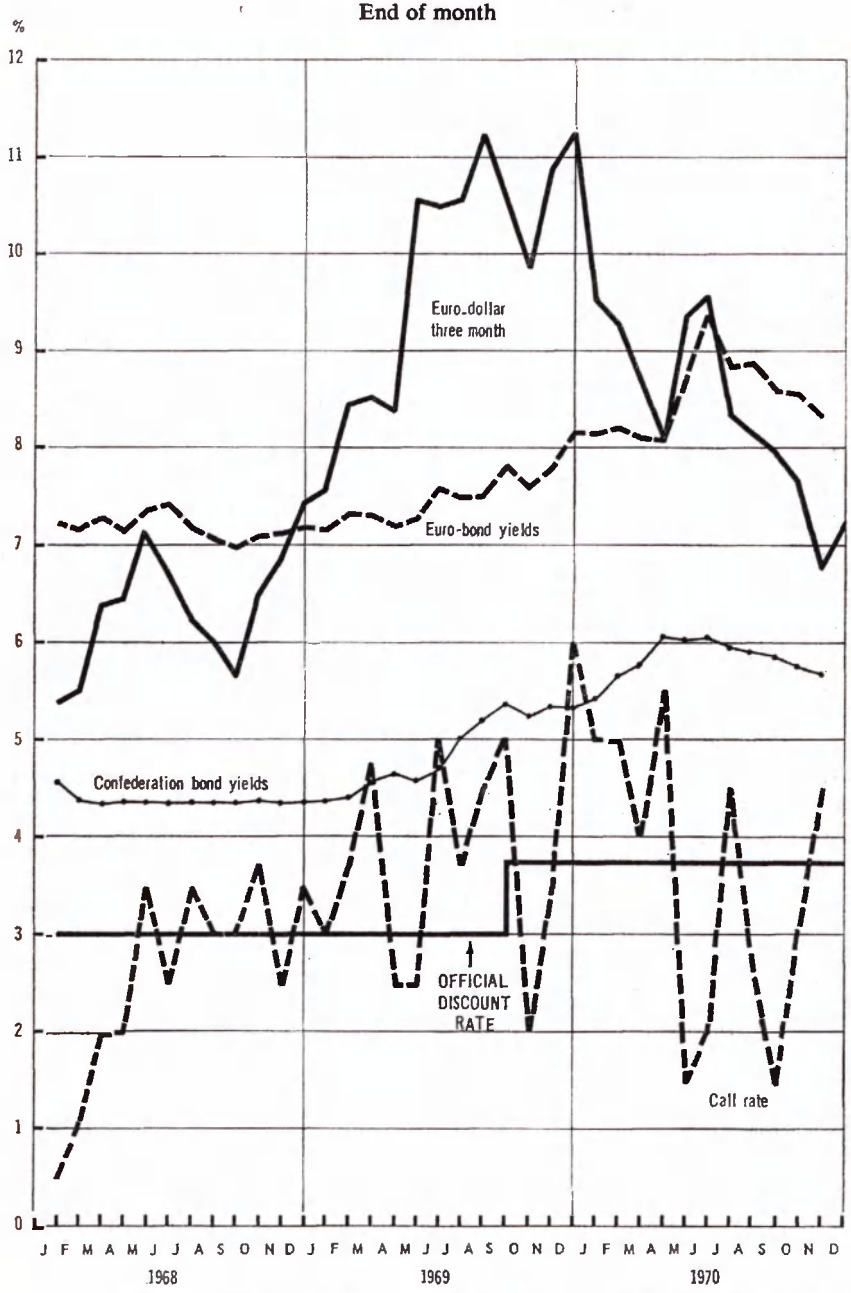
Diagram 6 **Credits extended by 72 banks**
Amounts outstanding at end-month, percentage changes from previous year



Source : Banque Nationale Suisse, Bulletin mensuel.

firms unable to obtain loans at home, and by the banks. The latter had been moderately increasing the volume of new loans to their customers while the rise in non-bank deposits, notably time deposits, was decelerating very rapidly. The much slower growth in time deposits seems to have reflected a diminished willingness on the part of Swiss banks to accept foreign deposits to be reinvested on the Euro-dollar market, in view of the falling interest rate differential and the increase in forward cover cost. To accommodate the sharp fall in the incremental non-bank deposit-

Diagram 7 **Interest rates**
End of month



Source: Banque Nationale Suisse, Bulletin Mensuel; Federal Reserve Board, Weekly Summary of Banking and Credit Measures; Morgan Guarantee Trust Co., World Financial Markets.

lending ratio, the banks have apparently decreased their net asset position vis-à-vis other, largely foreign, banks[1].

So far the capital inflow does not seem to have reached large proportions, but the authorities are aware of the difficulties their policy could face if the economy's degree of liquidity were to increase substantially following a large net inflow of funds. Furthermore, it should be remembered that under the present Convention between the National Bank and the private banks the growth of credit can only be limited for a maximum period of two years. Already before the end of 1970, however, the Swiss National Bank has brought to the attention of the Swiss Bankers' Association the fact that an extension of the credit restrictions would be necessary, were demand pressures not to slacken. The Association shared this opinion and declared itself ready to propose to all the banks which had signed the Convention an extension of credit restrictions. As for minimum reserve requirements, whose imposition by the National Bank is provided for in the Convention, they have not been applied as yet, since it was thought that the banks would finance the reserve requirements by repatriating high-yield Euro-dollar assets rather than by restricting their loans to domestic customers. In such a case credit activity would not have decelerated and the banks, to compensate for the loss in earnings consequent upon such a policy, might even have raised domestic lending rates. This could have reduced the attractiveness of the Euro-dollar market and discouraged the normal rechannelling abroad of foreign funds by Swiss banks. But the progressive narrowing of the gap between domestic and foreign rates may reduce the strength of this argument. It is possible that, should capital inflows increase rapidly, this or other instruments could be used to counteract the effects on the economy of too high a degree of liquidity.

Demand for funds on the capital market has been strong. In the first eleven months of 1970 total security issues, net of redemptions and conversions, were some SF 400 million lower than in the corresponding period of 1969, but the decline reflected mainly the intervention of the banking commission in limiting the volume of new issues. As already mentioned, foreign issues have been restricted and the sale of equity capital was also lower than in 1969. Net domestic bond issues, on the other hand, were some SF 400 million higher mainly because of an increased volume of bank issues. The increasing tightness of financial markets has been reflected in a rise of interest rates. Money market rates were above the previous year's levels throughout most of 1970, but declined slightly in the autumn, partly under the influence of foreign developments. As

1 It should, however, be noted in this context that the present data on the foreign assets held by commercial banks vary in reliability and coverage. The very large volume of transactions made by Swiss banks on behalf of foreign residents (fiduciary transactions) is not uniformly classified—some banks exclude it altogether from their balance sheets, others include it only partially and some record it fully. Moreover changes in recording procedures have been taking place during 1970. So as to unify the presentation, the Federal Banking Commission has asked the banks in December 1970 to record all their fiduciary transactions in a special line of their balance sheets. The change to the new system should be completed by 31st December, 1971.

for longer-term rates, which rose during 1969 and the first part of 1970, some of them have since remained relatively stable, while others continued to rise.

Fiscal Policy

Fiscal policy has been unable to play a large role in demand management. The constitutional and historical problems that have traditionally hampered the use of a flexible fiscal policy in Switzerland are well known[1]. Some recent trends have even added to these difficulties. Thus, the share of indirect taxation in the Confederation's total revenue and in GNP has been falling between 1962-63 and 1968-69 and is expected to decline further in 1970-71. This development has favourable aspects but since in the Swiss fiscal system indirect taxation is more responsive to short-run cyclical changes than direct taxation (because of the relatively long lag with which the latter is collected) the scope for the automatic stabilizing effects of taxation has been diminishing. Second, the share of those indirect taxes whose revenue is not appropriated to specific items of expenditure has been decreasing from some 48 per cent of total receipts in 1962-63 to barely 40 per cent in 1968-69, thereby further restricting the already limited discretionary powers in the field of expenditure of the Central Government[2]. In view of these limitations, it is perhaps not so surprising that, as suggested in last year's OECD Survey of Switzerland, the public sector's budgetary policies have often conflicted with the short-run needs of the economy[3].

Full data for 1969 and 1970 are not yet available, but official estimates have been made, for the first time, of the likely impact on demand of changes in Federal revenues and expenditures. According to these, the 1969 Federal budget actually imparted an expansionary impulse to the economy of the order of SF 200 million (or ¼ of one per cent of GNP). Given that the 1970 Federal budget will probably close in near equilibrium and that the deficit on general government account may be of the same order of magnitude as the one recorded in 1969, it is likely that the public sector's net effect on the economy has also been stimulating in 1970.

In view of the inadequacies of the present fiscal set-up, the authorities have sought to change some of the constitutional provisions for raising and changing taxation. A project[4] was submitted to referendum in November, 1970. But, though obtaining a majority vote, it was rejected by more than half the Cantons. The 1971 voted budget which would

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1 See for details the OECD Annual Survey of Switzerland, January 1970, pp. 41-44.

2 Société de Banque Suisse, *Bulletin*, No. 4, 1970, pp. 67-74.

3 A more detailed analysis, which takes into account multiplier repercussions of central and local government transactions on the economy, seems to confirm this judgement; E. Buschor, "Staatshaushalt und Konjunkturpolitik in der Schweiz", *Wirtschaft und Recht*, No. 2, 1970. This work uses as a starting point the fiscal policy model developed in a previous OECD publication: B. Hansen, *Fiscal Policy in Seven Countries*, Paris, 1969.

4 See for details the OECD Annual Survey of Switzerland, January 1970, p. 33.

Table 12 **General Government Account (Excluding Social Security)**

SF million

		1964	1965	1966	1967	1968	1969	1970
1	Current expenditure on goods and services	6 210	6 620	7 310	7 860	8 330	9 190	(10 100)
2	Subsidies and transfers	2 300	2 555	2 930	3 190	3 485	3 860	(4 100)
3	Total current expenditure (1 + 2)	8 510	9 175	10 240	11 050	11 815	13 050	(14 200)
4	Total current revenue, net of interest on public debt	10 465	11 035	12 250	13 165	14 770	16 600	(18 300)
5	Gross savings (4 − 3)	1 955	1 860	2 010	2 115	2 957	3 550	(4 100)
	5.1 per cent of total net national savings	19.9	17.4	17.5	17.8	21.9	24.3	(25.6)
	5.2 per cent of public investment	65.8	60.8	59.5	(60.4)	(81.0)	(85.5)	(87.2)
6	Gross asset formation	2 967	3 054	3 380	(3 500)	(3 650)	(4 150)	(4 700)
7	Financing requirements:							
	— balance of income effective transactions (6 − 5)	1 012	1 194	1 370	(1 385)	(695)	(600)	(600)
8	Gross national product	55 540	59 985	64 625	68 825	74 220	80 700	(88 200)
	8.1 (1 + 6) as per cent of GNP	16.5	16.1	16.5	(16.5)	(16.1)	(16.5)	(16.8)
	8.2 (7) as per cent of GNP	1.8	2.0	2.1	(2.0)	(0.9)	(0.7)	(0.7)

Source : La Vie économique; figures in brackets are Secretariat estimates.

Table 13 Federal Finance,
Classified by economic categories
SF billion

	Closed Account			Voted Budget			Projections	
	1967	1968	1969	1969	1970	1971	1972	1973
1 Expenditure on goods and services	2.32	2.36	2.61	2.61	2.79	3.08	3.40	3.61
(in percentage of GNP)	3.4	3.2	3.2	3.2	3.2	3.2	3.3	3.2
2 Current transfer payments[1]	2.38	2.83	3.11	3.18	3.36	3.81	4.06	4.72
3 Total « income effective » spending	4.69	5.19	5.72	5.79	6.15	6.89	7.46	8.33
4 Current receipts	5.67	6.56	7.03	6.68	7.52	8.41	9.25	9.86
5 BALANCE ON « INCOME EFFECTIVE » TRANSACTIONS (4 – 3)	0.98	1.37	1.31	0.88	1.37	1.52	1.79	1.53
(in percentage of GNP)	1.4	1.9	1.6	1.1	1.6	1.6	1.7	1.3
6 Net capital transfer payments	1.00	1.03	1.10	1.07	1.16	1.37	1.44	1.78
7 FINANCIAL BALANCE (5 – 6)	–0.02	0.34	0.21	–0.19	0.21	0.15	0.35	–0.25
(in percentage of GNP)	–0.0	0.5	0.3	–0.2	0.2	0.2	0.3	–0.2
8 Lending and participation, net	0.14	0.18	0.19	0.25	0.24	0.24	0.42	0.47
9 EXCESS SPENDING (net borrowing requirements) (8 – 7)	0.16	–0.16	–0.02	0.44	0.03	0.09	0.07	0.72
(in percentage of GNP)	0.2	–0.2	0.0	0.5	0.0	0.1	0.0	0.6
Memorandum item:								
10 Net change in non-monetary assets[2]	0.36	0.40	0.46	0.32	0.39	0.32	0.36	0.39

1 Including interest payments.
2 Surplus on the «Compte des variations de la fortune».

Source : Swiss Federal Administration.

have closed in small surplus had the new proposals become law, thanks to higher tax receipts, may now register a deficit of some 90 million SF. This could have been even higher had not the Government obtained approval at end-year for some supplementary economies. According to official estimates, the net effect on demand of the planned changes in revenues and expenditures would in reality be of the order of 400 million SF, or nearly ½ per cent of GNP. In view of the increasing price tensions, the Government's budget message openly admitted that the 1971 proposals were in conflict with the more general aims of economic policy and were likely to reinforce inflationary tendencies.

The scope for any further fiscal measures is very restricted. In May 1970 the Government decided to limit the 1970 growth of the volume of public construction to that of GNP in order to improve the extremely tight demand-supply situation in this sector. A further general effort has been made to co-ordinate local expenditures, but present tentative forecasts for the local authorities' budgets in both 1970 and 1971 point to very rapidly increasing expenditures, notably on investment account.

After the rejection of the project mentioned above, the Federal Council prepared new proposals taking account of the main objections and, in particular, maintaining the constitutional limitation on the rates of the direct Federal tax and turnover tax, together accounting for some 40 per cent of the Confederation's revenue. These proposals, which have already been accepted by one Chamber, are to be submitted to the people and the cantons (referendum) in June for entry into force—in part retroactively to 1st January, 1971. If the new proposals are accepted, the Confederation would be in a position to obtain 200-300 million francs of additional revenue as from 1972. Flexibility of rates—unlimited downwards—can be achieved in two ways. Firstly, Parliament can abolish the 5 per cent rebate on the direct Federal tax. Secondly, subject to the optional referendum, it can raise by 10 per cent the maximum rates of the direct Federal tax and turnover tax. These two measures, would provide an increase of tax yields of nearly 1 per cent of GNP, which would roughly correspond to the degree of flexibility proposed in a report published by the OECD "Fiscal Policy for a Balanced Economy".

III PROSPECTS AND CONCLUSIONS

Prospects

Prospects for 1971 are for a continuation of relatively rapid growth accompanied by appreciable price tensions. The semi-official forecasts would even seem to indicate that the degree of pressure on resources will continue to increase and that a further significant spill-over into imports (and prices) may take place. Private consumption is expected to accelerate in response to increasing wages, and investment activity, though showing down, is forecast to remain relatively strong—notably for investment in machinery and equipment. The high rate of stock formation witnessed in 1970 is, on the other hand, unlikely to be repeated. Both exports

and, even more, imports are forecast to decelerate, but in the latter's case, the predicted year-to-year growth rate is still appreciable. Thus it is expected that a new large deterioration in the foreign balance will absorb the gap between a continuously strong internal demand in volume terms and an increasingly inflexible domestic supply.

Table 14 **Semi-Official Forecasts**

	Million Swiss Francs	Percentage changes from previous year			
		Volume[1]		Prices	
	1969	1970	1971	1970	1971
Private consumption	46 340	5.3	5 ¾	3.7	4 ½
Public consumption[2]	9 625	4.0	6	5.3	6
Gross asset formation	21 145	10.8	6	8.8	8
Construction	13 395	7.0	6	10.0	10
Machinery and equipment	7 230	12.0	10	6.5	5
Stocks	520	0.6[3]	— ¼[3]	..	..
Total domestic demand	77 110	6.7	5 ¾	5.3	5 ¾
Exports (excluding factor income)	27 615	6.6	6	4.2	4 ¾
of which: goods	20 010	5.3	4 ¾	4.5	5
Total demand	104 725	6.6	5 ¾	5.1	5 ½
Imports (excluding factor income)	25 750	13.3	11 ¼	6.5	3 ½
of which: goods	22 730	13.6	11	6.5	3 ½
GDP	78 975	4.5	4	4.5	6 ¼
GNP	80 700	4.4	3 ¾	4.5	6 ¼
Factor income	1 725	—	—	..	..

1 At constant previous year's prices. See footnote 1 to Table 1.
2 Including private social insurance.
3 Contribution to growth of GDP.

Source : Information supplied by the Swiss authorities.

A number of autonomous factors play an important role in so relatively buoyant a forecast. Thus, even if the Government succeeds in limiting expenditure, the 1971 budget will, on balance, be expansionary. And the present, distinctly higher wage increases can be expected to stimulate private consumption. But the development of savings is difficult to foresee. Defence tax receipts will be low in 1971[1] and this, according to past trends, should encourage savings. On the other hand, the possible spread of inflationary expectations would have the opposite effect. The latest semi-official estimates forecast a further decline this year of the household savings ratio. As for investment demand, the underlying trend is probably strong (both for infrastructure and for labour-saving equipment). But stricter monetary policy, if with a lag, has begun to have effects,

1 As is well known, the Federal direct tax (or defence tax) is usually paid at the beginning of two-year periods, rather than in a number of instalments, since this allows the deduction of a premium from the tax bill.

which will probably continue throughout 1971. Moreover, profits which had risen rapidly in 1968-1969, and probably also in 1970, could be less buoyant. The deceleration in exports is likely to be only moderate. The latest Secretariat estimates suggest that Swiss export markets may grow this year by some 11 per cent, compared to as much as 17 per cent in 1970. But such a slowdown may affect Swiss sales abroad only little, in view of the large order backlog existing in many exporting industries.

On the whole, and despite some doubts on the rate of increase of private consumption, these forecasts seem realistic. The slowdown in various indicators registered in the summer of 1970, and already mentioned above, may throw some doubt on the strength of some demand components, but no too much should be read into a few months' figures, nor should the evidence of other more buoyant indicators be discounted. It is also likely that the slowdown in demand in the construction sector owes a good deal to supply limitations, while the sluggish behaviour of industrial production may well reflect erratic or accidental movements in what is, after all, an imperfect index[1]. And the renewed strength of imports at the close of the year points to the continued existence of some excess demand which, though not as strong as a year ago, can only be fully reabsorbed with time.

It is thus likely that the expansion of demand will slow down somewhat but the growth of supply, limited by manpower shortages, is also likely to decelerate. The longer-term growth of the labour force has been semi-officially put at rather more than ½ per cent per annum. Since 1964, when the employment of foreign labour reached its peak, output per person employed has risen by some 3½ per cent per year. Combining these two figures, and assuming no drastic changes in the propensity to invest or in labour mobility, the full capacity growth rate of the economy is of the order of 4 per cent. The relatively high growth rates recorded in 1969 and 1970 are thus unlikely to be repeated. And, although potential output should benefit in 1971 from the recent investment boom, the growth of real supply may still be more closely in line with the longer-run trend.

Despite the expected easing of demand pressures, the recent high rates of price increases may continue for some time and no significant slowdown is likely before the middle of the year. Several of the factors which made for relative price stability in the earlier part of the boom are unlikely to have the same impact in 1971. The margins of spare capacity which facilitated productivity increases in 1969 are unlikely to be available in 1971. The effects associated with the abolition of resale price maintenance agreements probably worked themselves out in the course of 1970. The rise in wage rates has been accelerating and is unlikely to slow down in the short-run even if the growth of demand were to weaken significantly. The expected shift of demand away from exports (and investment) towards private and public consumption may also contribute

1 Erratic quarterly movements of the index have often been recorded in the past, one of the possible reasons being that it is partly based on delivery rather than production data.

to further price increases. Though the direct and indirect import contents of the various demand components are not known, it is prima facie likely that consumption has less of an import content than exports or investment in machinery and equipment. Thus the scope for imports to relieve supply bottlenecks could be more limited than in 1969 and 1970. And there seems little possibility in the short run of mitigating the upward trend of building costs, short of imposing quantitative controls. The only factor likely to go in the opposite direction is the development of import prices. The latest estimates by the OECD Secretariat point to a substantial deceleration of foreign trade price increases in 1971[1], and a marked slowdown has already taken place in the field of raw material and iron and steel prices. The more stable trend of wholesale prices in recent months indicates that the repercussions of world trade developments may be beginning to be felt. With a lag, this could reflect itself in a stabilization of some consumer prices as well.

Conclusions

In certain important respects economic developments over the last couple of years have been quite satisfactory. Aided by appreciable productivity gains, the growth performance of the economy has significantly exceeded the medium-term average. And up to last summer, in spite of the strength of both domestic and foreign demand and a sharp increase in import prices, the rise of consumer prices remained comparatively moderate. However, price increases have accelerated substantially in recent months. This development, and the virtual disappearance of the earlier large surplus on current account, are two features of the present economic scene which stand in marked contrast with the situation of a year earlier.

The sharp swing from a current external surplus of about 3 per cent of GNP in 1969 (to which attention was drawn in last year's OECD Survey) to approximate equilibrium in 1970 owed much to the strength of domestic demand, in particular for productive investment and stockbuilding. Another factor was an unusual and large deterioration of the terms of trade, to which last year's exceptionally strong increases in foreign trade prices and the Deutschmark revaluation contributed. There does not seem to have been any relative deterioration of Swiss production costs, in view of the general rise of costs and prices in other industrialised countries: on the contrary, judging by the movements of wages and productivity, labour costs in industry would seem to have risen less than in Switzerland's main competitors. It is too early to judge the possible influence of non-cyclical factors in the change of the current balance. It should be noted, however, that policy measures were taken early last year aimed at a reduction of the surplus on goods and services in order to diminish the pressure on domestic resources. The disappearance of the current surplus and even the possibility of a current deficit this year should not, and are unlikely to, influence Switzerland's traditional liberal policy with respect to international payments. This policy, backed by a basically strong economic position

1 See OECD, *Economic Outlook*, No. 8, December 1970, p. 17.

and by very substantial net foreign assets, is natural for a country so closely involved in international transactions—and which would stand to lose much from any re-emergence of protectionist trends among developed countries.

Unlike the swings in the balance of payments, the internal strains on the economy—notably the acceleration of price increases—have attracted wide attention and encouraged discussion of the appropriate role of public policies in safeguarding financial equilibrium. This is understandable because the country's past record of relative price stability is not only of interest per se, but has doubtless been an important factor underlying the high personal savings ratio, the comparatively high dependence on exports and Switzerland's role as an international financial centre.

In assessing recent developments, it is clear that stabilization policy has not been used to the extent required. It is true that in a country like Switzerland—closely integrated into world markets—external influences limit the effectiveness of domestic policy. Moreover, conjunctural policy is hampered by the persistent inelasticity of labour supply. Since full employment conditions in the strictest sense have prevailed for a long time, the policy (adopted for non-economic reasons) of limiting the number of foreign workers is, at certain times, obviously incompatible with the determination of demand changes by market forces and the objective of relative price stability. But despite these basic constraints flexible demand management has an important role to play if appropriate growth rates and price stability are to be ensured. In the period under review, monetary policy (although subject to both institutional and other limitations) was put to effective use. But budget policy has hardly been used at all for demand management purposes, largely because of constitutional obstacles. It is arguable that, as in 1964-65, some resort to direct control over construction activity would have been a useful adjunct to other types of policy, in the effort to restrain the rise in costs. In the event, credit restrictions may now have started to exert some dampening influence; but another important factor, to date, has probably been the limitation of public works, which was imposed at a time when certain other types of building, with a lower social priority, continued to expand appreciably.

Looking at the tasks of policy in the near future, there is little doubt that the objective of restraining the growth of demand should be maintained. There are signs that both exports and certain components of domestic demand have recently lost buoyancy. But until these developments are clearly confirmed, any reversal of the overall policy stance would be unwise. This implies that present efforts to limit the growth of outlays by the federal and local authorities should be continued and that no premature relaxation of credit controls should take place. It is, however, probable that, at the present late phase of the boom, these measures will not prevent the lagged effects of earlier developments on prices and wages. It is unlikely that these could be avoided by the adoption of new measures of demand restraint; existing legal limitations (especially in the budget field) would imply long delays—so that their impact on demand would risk being felt at a time when the cyclical situation was very different.

There seems to be some scope, however, for anti-inflationary action other than through general demand management. In the construction sector, where demand pressures are particularly strong, there is a case for special measures both on the demand and supply sides (including for instance preferential treatment of this sector within the global ceilings fixed for foreign workers). With regard to other types of action of the kind discussed in the recent report on inflation published by OECD[1], the Swiss authorities have already taken a number of steps—notably the accelerated application of tariff cuts, credit measures favouring imports and abolition of resale price maintenance. Over the medium-term, it would be desirable—as in other Member countries— to examine ways of supporting agricultural incomes which would bear less directly on the level of food prices.

The present problems of the economy illustrate again the serious inadequacy of demand management policy in Switzerland. The Federal authorities have sought repeatedly, but with limited success, to extend and improve the array of policy instruments at their disposal. Renewed efforts in this direction are desirable, and it is to be hoped that recent developments will convince public opinion of the need for better policy-making arrangements. The obstacles to flexible short-term economic policies are partly legal and constitutional, but also stem from a deep-rooted feeling that the traditional local freedoms, and a liberal economy, are best served by a rather weak central authority. In today's economic conditions, however, such attitudes may have the paradoxical outcome that, in the face of mounting problems and in the absence of adequate and flexible instruments of general management of the economy, both the executive authorities and Parliament may be forced to impose detailed and direct controls on specific types of activity. This may limit the freedom of action of cantons, communes, enterprises and households more than a broad demand management policy exercised by the central authorities would have done.

1 OECD, *Inflation, the Present Problem*—Report by the Secretary General, December, 1970.

STATISTICAL ANNEX

Table A **National Product and Expenditure**

Million Swiss francs, current prices

	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969
Consumers' expenditure	22 960	25 100	27 875	30 170	32 820	35 285	37 870	40 635	43 100	46 465
Government current expenditure	3 740	4 450	5 160	5 815	6 400	6 835	7 555	8 130	8 615	9 500
Gross fixed asset formation	8 655	10 850	12 640	14 400	16 390	16 600	17 080	17 495	18 540	20 625
Change in stocks	1 015	1 520	1 140	720	800	450	450	440	500	520
NATIONAL EXPENDITURE	36 370	41 900	46 815	51 105	56 410	59 170	62 955	66 700	70 755	77 110
Exports of goods and services (non-factor)	10 970	12 035	13 165	14 380	15 930	18 100	19 890	21 275	24 060	27 615
Less: Imports of goods and services (non-factor)	10 775	12 940	14 470	15 670	17 395	18 160	19 325	20 315	22 095	25 750
GROSS DOMESTIC PRODUCT AT MARKET PRICES	36 565	40 995	45 510	49 815	54 945	59 110	63 520	67 660	72 720	78 975
Less: Net indirect taxes	2 230	2 610	2 875	3 195	3 520	3 790	4 010	4 205	4 470	5 130
Net income from the rest of the world	490	495	540	555	595	875	1 105	1 165	1 500	1 725
GROSS NATIONAL PRODUCT AT FACTOR COST	34 825	38 880	43 175	47 175	52 020	56 195	60 615	64 620	69 750	75 570

Sources: OECD, National Accounts of OECD Countries, 1950-1968; Swiss submission to the OECD.

Table B **National Product and Expenditure**

Million Swiss francs, 1958 prices

	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969
Consumers' expenditure	22 890	24 595	26 225	27 565	28 905	29 985	30 825	31 705	32 705	34 295
Government current expenditure	3 345	4 010	4 380	4 745	4 935	4 985	5 165	5 255	5 300	5 550
Gross fixed asset formation	8 245	9 675	10 715	11 400	12 415	12 235	12 180	12 245	12 770	13 765
Residential construction	2 415	2 685	2 655	2 710	3 055	3 010	2 975	2 895	3 000	3 365
Public works	1 365	1 490	1 780	2 075	2 390	2 400	2 570	2 635	2 730	2 970
Other construction	1 725	2 120	2 275	2 475	2 680	2 480	2 240	2 210	2 265	2 310
Machinery and equipment	2 740	3 380	4 005	4 140	4 290	4 345	4 395	4 505	4 775	5 120
Change in stocks	1 060	1 495	1 105	675	735	450	420	420	470	475
NATIONAL EXPENDITURE	35 740	39 775	42 425	44 385	46 990	47 655	48 590	49 625	51 245	54 085
Exports of goods and services (non-factor)	10 700	11 515	12 190	12 845	13 735	15 325	16 125	16 700	18 325	20 700
Less: Imports of goods and services (non-factor)	11 210	13 465	14 900	15 670	17 070	17 665	18 280	19 130	20 690	23 365
GROSS DOMESTIC PRODUCT AT MARKET PRICES	35 230	37 825	39 715	41 560	43 655	45 315	46 435	47 195	48 880	51 420
Net income from the rest of the world	540	565	620	630	675	940	1 150	1 240	1 580	1 750
GROSS NATIONAL PRODUCT AT MARKET PRICES	35 770	38 390	40 335	42 190	44 330	46 255	47 585	48 435	50 460	53 170

Sources: La Vie économique; Swiss submission to the OECD.

Table C **Income and Expenditure of Households and Private Non-Profit Institutions**

Million Swiss francs

	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969
Compensation of employees	18 995	21 420	23 940	26 685	29 415	32 090	34 315	36 525	38 760	41 490
Wages and salaries	18 270	20 605	23 035	25 680	28 305	30 900	33 065	35 205	37 320	39 730
Pay and allowances of armed forces	90	100	110	115	120	120	125	125	130	130
Employers' contributions to Social Security	635	715	795	890	990	1 070	1 125	1 195	1 310	1 630
Income from property and entrepreneurship[1]	9 150	9 995	10 915	11 680	12 800	13 725	14 865	15 970	17 165	18 700
Income of independent traders	5 940	6 580	7 210	7 710	8 420	8 765	9 290	9 750	10 100	10 730
Interest, rents, dividends, and corporate grants	3 210	3 415	3 705	3 970	4 380	4 960	5 575	6 220	7 065	7 970
Current transfers from Government	2 255	2 605	2 980	3 165	3 870	4 285	4 885	5 520	5 770	7 115
Current transfers from the rest of the world	210	220	230	245	250	240	260	260	265	270
INCOME OF HOUSEHOLDS etc.	30 610	34 240	38 065	41 775	46 335	50 340	54 325	58 275	61 960	67 575
Less: Direct taxes on households etc.	4 210	4 545	5 315	5 755	6 620	7 150	8 115	8 930	9 865	11 425
DISPOSABLE INCOME	26 400	29 695	32 750	36 020	39 715	43 190	46 210	49 345	52 095	56 150
Less: Current transfers to Government	650	775	875	875	785	790	780	885	975	1 035
Less: Current transfers to the rest of the world	540	755	960	1 120	1 180	1 275	1 315	1 245	1 300	1 450
Less: Consumers' expenditure on goods and services	22 960	25 100	27 875	30 170	32 820	35 285	37 870	40 635	43 100	46 465
Food	5 840	6 270	6 885	7 370	8 010	8 655	9 300	9 825	10 150	10 770
Clothing	2 090	2 255	2 435	2 680	2 830	2 960	3 095	3 190	3 255	3 475
Rent	2 720	2 880	3 100	3 320	3 615	3 940	4 380	4 905	5 395	5 880
Other	12 310	13 695	15 455	16 800	18 365	19 730	21 095	22 715	24 300	26 340
SAVINGS OF HOUSEHOLDS etc.	2 250	3 065	3 040	3 855	4 930	5 840	6 245	6 580	6 720	7 200

1 Net of interest on consumer debts.

Sources : La Vie économique; Swiss submission to the OECD.

Table D **Gross Domestic Product at Factor Cost by Industrial Origin**

	1964		1967		Average annual rate of growth
	SF million	Composition rate	SF million	Composition rate	
Agriculture	3 500	6.8	4 080	6.4	5.2
Industry	25 615	49.8	31 480	49.6	7.1
of which: Manufacturing	18 925	36.8	23 370	36.8	7.3
Construction	5 260	10.2	6 200	9.8	5.6
Commerce, banks and insurance companies	8 340	16.2	10 480	16.5	7.9
Transport and communication	3 635	7.1	4 410	7.0	6.6
Other	10 335	20.1	13 005	20.5	8.0
Total	51 425	100.0	63 455	100.0	7.3

Source : La Vie économique.

Table E **Prices and Wages**
Indices, 1963 = 100

	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969
GDP deflator total	86.6	90.4	95.6	100.0	105.0	108.8	114.1	119.6	124.0	127.2
Private consumption	91.6	93.2	97.1	100.0	103.7	107.5	112.2	117.1	120.3	123.5
Gross fixed investment	83.1	88.6	93.4	100.0	104.5	107.4	110.0	113.1	114.9	118.6
The cost of living	91.0	92.7	96.7	100.0	103.1	106.6	111.7	116.1	119.0	122.1
Food[1]	89.9	91.3	96.5	100.0	101.7	103.9	108.8	111.9	112.2	115.0
Non-food[1]	91.7	93.6	96.8	100.0	104.0	108.4	113.6	118.1	122.8	126.4
Rent	88.5	91.4	96.0	100.0	106.2	112.1	121.2	132.8	142.7	151.7
Others	93.3	94.7	97.2	100.0	102.9	106.6	109.8	110.8	115.5	116.9
Wholesale prices of materials and basic goods	92.9	93.1	96.3	100.0	101.3	101.9	103.8	104.1	104.1	107.2
Agricultural products	..	..	..	100.0	101.7	102.9	104.1	105.7	106.0	108.3
Export prices (unit value)	92.0	93.0	99.0	100.0	103.6	105.6	110.3	113.8	117.3	118.8
Import prices (unit value)	96.0	96.0	97.0	100.0	101.5	102.5	105.3	106.1	106.8	110.2
Building prices (Zürich)	79.5	85.6	92.4	100.0	106.8	110.7	113.7	114.5	115.5	118.7
Average hourly wage rates of industrial and building workers	..	89.1	94.3	100.0	105.6	110.9	117.5	123.8	129.2	134.7
Average hourly wage earnings of skilled male industrial workers	80.0	85.4	92.2	100.0	107.6	115.4	123.6	130.8	138.2	146.0

1 Figures have been obtained by weighting together indices for expenditure subgroups. Results for the years 1967 to 1969 differ somewhat from the indices shown for commodity and services sub-groups in "La Vie économique".

Sources : La Vie économique; Annuaire statistique de la Suisse.

Table F Money and Banking

Million Swiss francs

	1965	1966	1967	1968	1969					1970		
					Year	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.
MONETARY AGGREGATES (end of period, billion Swiss francs)												
Money[1]	29.43	30.54	32.80	36.88	41.18	35.25	36.56	37.20	41.18	39.35	40.25	41.17
Quasi-money[2]	33.01	36.26	39.71	45.35	56.88	47.59	51.05	54.73	56.88	58.69	59.08	61.06
SELECTED BANK ASSETS AND LIABILITIES (end of period)[3]												
Cash position	4 843	4 924	5 566	7 250	8 289	6 472	6 766	7 171	8 289	7 451	7 718	7 706
Lending to non-banks	57 882	62 757	68 899	75 712	86 063	77 198	80 961	84 481	86 063	87 615	90 128	91 680
Mortgages	26 022	27 798	29 790	32 523	35 176	33 146	33 806	34 440	35 176	35 765	36 303	36 954
Loans to public sector	3 303	3 706	4 165	4 424	5 077	4 189	4 346	4 615	5 077	4 708	4 833	4 991
Other loans	23 572	26 335	29 126	32 769	40 107	34 099	37 374	39 534	40 107	41 404	43 262	44 012
Discount credits	4 985	4 918	5 819	5 996	5 703	5 764	5 435	5 892	5 703	5 738	5 730	5 723
Deposits from non-banks	47 919	51 357	55 998	64 332	78 852	66 326	70 666	75 352	78 852	80 258	81 233	84 197
Sight	14 908	15 099	16 285	18 970	21 964	18 738	19 619	20 619	21 964	21 568	22 155	23 138
Time	11 185	12 622	13 795	16 505	25 561	17 997	21 194	24 586	25 561	26 701	26 830	28 245
Saving and deposit accounts	21 826	23 636	25 918	28 857	31 327	29 591	29 853	30 147	31 327	31 989	32 248	32 814
Own bonds	18 095	19 215	22 008	25 029	27 261	26 018	26 488	26 747	27 261	27 707	27 914	28 266
Net claims on banks	3 823	3 566	4 747	7 018	12 484	8 748	9 534	11 464	12 484	13 254	12 625	14 618
Credits to Swiss residents	..	..	60 125	65 177	73 647	66 147	68 638	71 158	73 647	75 238	77 543	78 653
Credits for domestic use	..	..	59 414	64 386	72 298	65 349	67 871	70 207	72 298	73 559	75 366	76 294
Memorandum item:												
Incremental non-bank deposit lending ratio	0.70	0.71	0.76	1.22	1.40	1.34	1.15	1.33	2.21	0.91	0.39	1.91

1 Currency circulation, demand deposits and post office checking deposits.
2 Time and saving deposits.
3 Seventy-two banks covered by current statistics with balance sheets exceeding 100 million Swiss francs.

Sources: Swiss National Bank, Monthly Bulletin; IMF, International Financial Statistics.

Table G **Interest Rates and Capital Markets**

Million Swiss francs and percentages

	1966	1967	1968	1969					1970		
				Year	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.
INTEREST RATES (end of period)											
Discount rate	3 ½	3	3	3 ¾	3	3	3 ¾	3 ¾	3 ¾	3 ¾	3 ¾
Call money (Zurich)	3 ¾	2 ½	3 ¼	6	4 ¾	5	5	6	4	2	1 ½
3 months deposits (Zurich)		4	4 ¼	5	4 ¾	5	5	5	5 ½	5 ½	5 ½
Government bond yield	4.53	4.55	4.33	5.34	4.60	4.69	5.37	5.34	5.78	6.03	5.86
Saving deposits of 12 cantonal banks	3.33	3.58	3.60	3.71	3.65	3.69	3.71	3.71	3.88	3.94	3.98
Memorandum items:											
Euro-dollar three month	..	..	7.44	11.25	8.50	10.50	10.62	11.25	8.68	9.59	7.96
Euro-bond yields	..	..	7.19	8.13	7.31	7.60	7.82	8.13	8.10	9.38	8.60
CAPITAL MARKET											
Total security issues	5 285	5 795	6 218	7 074	1 997	1 639	1 286	2 152	(1 118)	(1 163)	(1 088)
Foreign bonds	561	898	1 089	1 015	374	170	169	302	169	122	199
Domestic bonds	3 445	3 551	3 194	3 601	1 146	684	724	1 047	949	1 041	889
- Public market issues	2 999	3 385	2 987	3 332	1 039	631	702	960	859	982	679
of which: Government	1 417	1 464	886	1 155	577	142	133	304	190	483	139
Financial Institutions	893	1 178	1 100	1 322	353	221	333	414	483	376	473
Other private	689	743	1 001	855	109	268	236	242	186	123	67
Shares	1 279	1 345	1 935	2 458	477	785	393	803	..	..	..
- Public market issues	258	322	503	820	158	288	68	305	99	136	119
Redemptions and conversions	1 114	1 204	659	1 355	378	322	164	491	138	478	235

Source : Swiss National Bank, Monthly Bulletin.

Table H **Current Government Transactions**[1]

Million Swiss francs

	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969
CENTRAL GOVERNMENT:										
Current revenue	3 150	3 375	4 055	4 085	4 940	4 915	5 660	5 675	6 520	7 050
Taxes and current transfers received	2 940	3 140	3 800	3 835	4 660	4 680	5 425	5 405	6 200	6 685
Income from property and entrepreneurship	210	235	255	250	280	235	235	270	320	365
Less: Current expenditure	1 950	2 530	2 710	2 770	3 295	3 395	3 745	3 955	4 155	4 695
Goods and services	1 020	1 530	1 680	1 655	1 840	1 890	2 160	2 200	2 170	2 435
Current transfers paid (including interest on public debt)	930	1 000	1 030	1 115	1 455	1 505	1 585	1 755	1 985	2 260
GROSS SAVINGS	1 200	845	1 345	1 315	1 645	1 520	1 915	1 720	2 365	2 355
OTHER GOVERNMENT:										
Current revenue	6 150	7 035	7 850	8 550	9 185	10 090	10 955	12 310	13 570	15 615
Taxes and current transfers received	5 225	6 055	6 765	7 485	8 060	8 905	9 595	10 820	11 910	13 855
Income from property and entrepreneurship	925	980	1 085	1 065	1 125	1 185	1 360	1 490	1 660	1 760
Less: Current expenditure	5 025	5 575	6 530	7 395	8 325	9 180	10 320	11 515	12 365	14 185
Goods and services	2 720	2 920	3 480	4 160	4 560	4 945	5 395	5 930	6 445	7 065
Current transfers paid (including interest on public debt)	2 305	2 655	3 050	3 235	3 765	4 235	4 925	5 585	5 920	7 120
GROSS SAVINGS	1 125	1 460	1 320	1 155	860	910	635	795	1 205	1 430

1 Including Social Security.

Source : Swiss submission to the OECD.

Table I **Foreign Trade by Area**

Million US dollars

	1963	1964	1965	1966	1967	1968	1969			1970
							Year	1st half	2nd half	1st half
					Exports f.o.b.					
OECD countries	1 859.9	2 043.4	2 287.1	2 498.0	2 686.1	3 045.4	3 531.9	1 657.7	1 874.2	1 878.5
EEC	1 022.0	1 074.0	1 183.6	1 248.6	1 279.1	1 468.4	1 736.4	837.8	898.6	943.8
EFTA[1]	429.4	517.8	589.6	644.3	757.7	843.1	958.3	442.5	515.8	516.2
USA	223.8	243.2	289.0	355.3	364.9	416.9	442.1	201.4	240.7	213.6
Other	184.7	208.4	224.9	249.8	284.4	317.0	395.1	176.0	219.1	204.9
Non OECD countries	556.7	610.5	685.3	785.7	817.9	976.0	1 108.5	528.4	580.1	598.2
Sino-soviet area	67.9	74.9	101.8	133.3	148.2	160.6	188.9	84.0	104.9	106.0
Other developed countries	67.1	81.2	92.3	101.6	97.9	107.7	121.8	55.1	66.7	64.2
Developing countries	421.7	454.4	491.2	550.8	571.8	707.7	797.8	389.3	408.5	428.0
Total	2 416.6	2 653.9	2 972.4	3 283.7	3 504.0	4 021.4	4 640.4	2 186.1	2 454.3	2 476.7
					Imports c.i.f.					
OECD countries	2 908.6	3 216.0	3 291.2	3 488.7	3 622.4	3 994.2	4 678.3	2 166.2	2 512.1	2 823.7
EEC	2 072.6	2 231.4	2 289.2	2 375.0	2 446.6	2 677.9	3 063.1	1 433.6	1 629.5	1 834.2
EFTA[1]	443.0	538.2	547.6	612.8	677.9	742.4	952.6	436.8	515.8	572.0
USA	279.1	313.4	312.4	354.7	344.2	402.7	446.3	197.6	248.7	284.9
Other	113.9	133.0	142.0	145.2	153.7	171.2	216.3	98.2	118.1	132.6
Non OECD countries	328.9	382.4	389.4	442.4	487.3	507.7	594.0	293.8	300.2	343.8
Sino-soviet area	71.7	82.6	93.5	112.0	107.2	106.9	128.2	58.1	70.1	74.7
Other developed countries	17.1	20.8	19.1	17.6	21.1	20.0	23.5	11.5	12.0	15.7
Developing countries	240.1	279.0	276.8	312.8	359.0	380.8	442.3	224.2	218.1	254.1
Total	3 237.5	3 598.4	3 680.6	3 931.1	4 109.7	4 501.9	5 272.3	2 460.0	2 812.3	3 167.5

1 Including Finland.

Source : OECD trade statistics, Series A.

Table J **Foreign Trade by Commodity Groups**

Million US dollars

		1963	1964	1965	1966	1967	1968	1969		
								Year	1st half.	2nd half.
		Exports f.o.b.								
0	Food and live animals	104.4	105.0	116.9	132.4	137.8	156.0	178	77	101
1	Beverages and tobacco	27.4	37.1	41.9	40.8	47.3	63.3	82	35	47
2	Crude materials, inedible, except fuels	53.8	60.1	67.7	74.0	75.8	94.8	106	53	53
3	Mineral fuels, lubricants and related materials	1.4	2.9	3.8	3.8	4.8	6.1	8	4	4
4	Animal and vegetable oils and fats	2.3	2.4	3.1	3.6	3.8	4.5	5	2	3
5	Chemicals	465.8	526.3	585.0	650.0	703.0	810.5	986	482	504
6	Manufactured goods, classified chiefly by materials	415.1	458.8	516.6	564.6	581.8	652.2	763	368	395
7	Machinery and transport equipment	743.3	796.1	894.4	984.9	1 056.7	1 213.8	1 430	656	774
8	Miscellaneous manufactured articles	571.2	629.0	700.2	781.9	839.8	921.1	1 024	455	569
9	Commodities and transactions not classified according to kind	16.6	14.2	9.7	15.6	20.4	26.3	27	11	16
	Total	2 401.7	2 632.0	2 939.3	3 251.6	3 471.1	3 948.6	4 609	2 143	2 466
		Imports c.i.f.								
0	Food and live animals	426.4	490.6	501.6	523.6	528.2	505.5	573	276	297
1	Beverages and tobacco	73.2	76.9	85.8	81.2	90.2	97.9	109	50	59
2	Crude materials, inedible, except fuels	245.1	265.6	252.1	261.9	261.9	266.9	289	143	146
3	Minerals fuels, lubricants and related materials	268.5	232.1	231.0	238.3	257.3	299.4	299	146	153
4	Animal and vegetable oils and fats	15.6	16.8	18.4	19.9	18.3	16.2	18	8	10
5	Chemicals	255.7	315.7	344.5	367.3	402.7	452.0	545	262	283
6	Manufactured goods, classified chiefly by materials	754.1	837.2	872.5	920.4	941.4	1 027.6	1 267	573	694
7	Machinery and transport equipment	823.8	905.7	884.1	979.1	1 002.7	1 173.0	1 335	629	706
8	Miscellaneous manufactured articles	357.2	429.1	449.5	500.6	567.3	634.6	790	354	436
9	Commodities and transactions not classified according to kind	15.2	21.5	31.9	25.1	29.2	24.6	41	10	31
	Total	3 237.7	3 591.3	3 671.3	3 917.6	4 099.2	4 492.6	5 266	2 452	2 814

Source : OECD trade statistics, Series B.

Table K **Balance of Payments**

Million US dollars

	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969
Exports, f.o.b.	2 037	2 220	2 419	2 635	2 885	3 125	3 447	3 692	4 247	4 902
Imports, f.o.b.[1]	2 236	2 695	3 013	3 241	3 597	3 586	3 815	4 006	4 399	5 141
Trade balance	−199	−475	−594	−606	−712	−461	−368	−314	−152	−239
Services, net [2 3]	(438)	(445)	(474)	(506)	(581)	648	754	804	955	1 072
Balance on goods and services	239	−30	−120	−100	−131	187	386	490	803	833
Private transfers, net[3]	(−134)	(−169)	(−205)	(−246)	(−265)	−241	−244	−228	−238	−269
Official transfers, net[3]	(−11)	(−12)	(−13)	(−14)	(−15)	−16	−21	−23	−20	−37
Current balance	94	−211	−338	−360	−411	−70	121	240	545	527
Balance on non-monet. transactions	..	..	..	..	..	..	..	216	1 050	157
Priv. monet. instit. sh.-term capital	..	..	..	..	..	..	..	61	−526	−148
(*a*) Assets	..	..	..	..	..	..	..	−1 147	−1 811	−2 398
(*b*) Liabilities	..	..	..	..	..	..	..	1 208	1 285	2 250
Balance on official settlements	262	550	345	149	98	61	−15	174	627	9
Special transactions[4]	—	−50	—	—	50	—	—	—	—	—
Miscellaneous official accounts	−1	−19	−129	110	−53	66	45	57	−7	−7
Change in reserves (+ = increase)	261	481	216	259	95	127	30	231	620	2
(*a*) Gold	251	375	108	153	−95	317	−200	247	−465	18
(*b*) Currency assets[5]	10	106	108	106	190	−190	230	−16	1 085	−16
Memorandum item:										
Total capital, net[6]	168	761	683	509	509	131	−136	−66	82	−518

1 Original figures for imports are on a c.i.f. basis. They are adjusted to f.o.b. basis by deduction of 5 per cent representing the estimated c.i.f. — f.o.b. margin.
2 Services debits include 5 per cent of imports as an approximation of the freight content of imports not recorded in original figures.
3 For the period '60 to '64, the breakdown between services and transfer payments has been estimated by the Secretariat.
4 Special transactions: 3-year loan granted to U.K.
5 Currency assets include Roosa Bonds, including bonds held by the Confederation.
6 Obtained by difference. Includes errors and omissions.

Sources: Swiss Balance of Payments Submission to the OECD, BIS sources and Secretariat estimates.

Table L Basic Statistics: International Comparisons

			Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece	Iceland	Ireland	Italy
POPULATION	End of 1969	Thousands	7 384	9 660	21 260	4 906	4 707[1]	50 545	61 195	8 846[2]	203.4	2 927	54 302
Net average annual increase	1959-1969	%	0.49	0.57	1.84	0.72	0.65	1.06	1.05	0.75[5]	1.57	0.30	0.82
EMPLOYMENT Total civilian	1969	Thousands	3 017	3 683	7 780	2 294	2 116	19 967	26 337	(3 662)	78[2]	1 061	18 678
Agriculture		% of total	19.1	5.2	8.2	11.9	24.5	15.1	9.6	(48.2)	18.8[2]	28.4	21.5
Industry[7]		% of total	39.9	44.8	32.3	38.5	34.6	40.6	49.1	(22.5)	37.3[2]	29.7	43.1
Other		% of total	41.0	50.0	59.5	49.6	40.9	44.3	41.3	(29.3)	43.9[2]	41.9	35.4
PRODUCTION: GNP per head	1969	$[8]	1 690	2 370	3 460	2 880	1 940	2 770	2 520	860[2]	1 890	1 660	1 520
GDP by sector: Agriculture	1968	% of total	8.1	5.4	5.9[9]	9.1	15.3	6.6[10]	3.9[10]	21.2	..	19.5[9]	11.1
Industry		% of total	50.3	41.1	38.5[9]	39.6	39.2	47.8[10]	50.9[10]	27.3	..	33.5[9]	38.6
Other		% of total	41.6	53.5	55.6[9]	51.3	45.5	45.6[10]	45.2[10]	51.6	..	47.0[9]	50.3
GNP[14] annual volume growth	1968	%	4.1	3.8	4.8	3.5	2.2	4.2	7.0	6.4	−5.9	4.2[9]	5.7
	1963-1968	%	4.2	4.1	5.5	4.7	3.6	5.2	4.3	7.2	3.4	3.3[15]	4.9
INDICATORS OF LIVING STANDARDS:	1968												
Private consumption per head		$	920	1 370	1 830	1 600	960	1 540	1 240	600	1 530	720	890
Expenditure on education		% of GNP[9]	4.40	5.57	5.65[16]	6.12	6.43	4.81	2.96[17]	1.88[18]	4.80	4.23	5.44
Dwellings completed, per 1 000 inhabitants		number	6.6	5.0[19]	8.2	9.0	7.9	8.2	8.6	10.1	9.0[9]	4.0	5.1
Passenger cars[20], per 1 000 inhabitants		number	144	187	298	209	124	240	199	18	185	123	151
Television sets[21], per 1 000 inhabitants		number	134	186	279	244	193	185	231	9	160[20]	111[17]	146
Telephones[21], per 1 000 inhabitants		number	159	181	408	292	204	141	172	76	330[20]	87[9]	135
Doctors[21], per 1 000 inhabitants		number	1.58	1.51	1.20[22]	1.35[22]	0.88	1.18	1.48	1.47	..	1.03[17]	1.71
GROSS FIXED INVESTMENT[23] Total	1964-68 average	% of GNP	25.1	21.4	23.8[24]	22.3	25.2	24.8	25.6	24.2	30.6	19.5[25]	19.5
Machinery and equipment		% of GNP	12.6	8.6	9.4	11.1	9.0	10.7	12.3	9.1	9.4	8.5[25]	7.4
Residential construction		% of GNP	4.4	5.6	3.8	4.3	5.5	6.5	5.4	6.1	6.5	3.7[25]	6.3
Other construction		% of GNP	8.1	7.2	10.6	6.9	10.7	7.6	7.9[29]	9.3	14.8	7.4[25]	5.8
GROSS SAVING	1964-68 average	% of GNP	26.6	22.8	23.9	20.0	27.1	25.7	26.2	20.4	..	18.1[25]	23.0
PUBLIC SECTOR[30] Total current revenue	1968	% of GNP	37.5	33.6	35.2	37.0	37.1	37.7	37.1	27.4	33.6[9]	30.3[9]	33.2
WAGES/PRICES Hourly earnings[32]	Annual increase 1964-69	%	8.1[33]	7.9	6.6[34]	11.2[35]	9.1	8.2[36]	6.5	10.8	11.7[37]	8.6[34]	5.7[38]
Consumer prices		%	3.4	3.5	3.7	6.5	5.3	3.8	2.6	2.5	11.5	4.6	2.8
GNP deflator		%	3.6	3.8	3.9	6.4	5.9	3.9	2.6	2.7	12.0	4.6	2.9
FOREIGN TRADE Imports[46]		$ million[8]	3 146	8 392	15 757	3 791	1 941	16 032	29 331	1 654	139	1 302	12 285
—		% of GNP	27.7	40.5	25.3	30.6	24.2	14.2	20.3	21.9	45.0	43.6	16.4
Exports[46]		$ million[8]	3 004	8 420	15 441	3 578	2 006	16 024	34 385	965	110	1 216	14 618
—		% of GNP	26.5	40.6	24.8	28.9	25.0	14.2	23.8	12.8	35.4	40.8	19.5
BALANCE OF PAYMENTS Current balance	1964-68 average	% of GNP	−0.9	0.2	−1.3	−2.4	−1.4	−0.8	0.7	−4.8	−4.7	−1.9[25]	2.9
Official reserves, end-1969: per cent of a year's imports[47]		%	48.5	22.3[19]	20.0	11.7	15.7	22.3	27.4	18.3	31.6	44.8	33.3
Change	November 1969 - November 1970	$ million	143	258[19]	1 252	25	99	800	4 512	14	14	60	546
NET FLOW OF RESOURCES TO DEVELOPING COUNTRIES[49]		% of GNP	0.65	1.12	0.50	1.13	— [50]	1.24	1.33	— [51]	— [50]	— [50]	1.03
EXPORT PERFORMANCE[52] Gains or losses	1968 to 69	%	2.9	3.6[19]	−2.9	−0.3	6.7	0.7	2.9	−0.5	17.3	4.7	−2.6
of market shares	1960-61 to 1968-69 (average)	%	−1.8	1.0[19]	−2.5	−1.1	−2.1	0.8	0.8	1.1	−5.4	0.6	4.0

			Japan	Luxemb.	Netherlands	Norway	Portugal	Spain	Sweden	Switzerl.	Turkey	United Kingdom	United States	Yugoslav.
POPULATION	End of 1969	Thousands	102 930	338.5	12 958	3 867	9 514[2]	33 250	8 014	6 184	33 957[2]	55 534[3]	204 354	20 462
Net average annual increase	1959-1969	%	1.04	0.79	1.27	0.81	0.85[5]	0.97	0.71	1.53	2.65[5]	0.67[6]	1.31	1.12
EMPLOYMENT Total civilian	1969	Thousands	50 400	140	4 510	1 474	3 109	12 243	3 821	(2 740)	(13 529)	24 904	77 902	3 706
Agriculture		% of total	18.8	11.6	7.5	14.7	31.5	30.7	8.8	(7.3)	(72.1)	2.9	4.6	6.7
Industry[7]		% of total	35.0	45.7	41.3	36.8	35.5	37.1	40.4	(51.9)	(11.6)	46.8	(33.7)	46.8
Other		% of total	46.2	42.7	51.2	48.5	33.0	32.2	50.8	(40.8)	(16.3)	50.3	(61.7)	46.5
PRODUCTION: GNP per head	1969	$[8]	1 630	2 130[9]	2 190	2 530	530[2]	870	3 570	2 990	375	1 970	4 660	476[2]
GDP by sector: Agriculture	1968	% of total	10.5[11]	6.2[9]	7.0	6.8	19.0	16.3	5.9[9 10]	6.4[9]	33.8[11]	3.0[13]	2.9[10]	19.5
Industry		% of total	37.9[11 12]	50.9[9]	42.2	37.2	42.2	33.7	45.2[9 10]	49.6[9]	26.5[11]	45.8[13]	36.4[10]	42.5
Other		% of total	51.6[11 12]	42.9[9]	50.8	56.0	36.8	50.0	48.9[9 10]	44.0[9]	39.7[11]	51.2[13]	60.7[10]	38.0
GNP[14] annual volume growth	1968	%	14.8	0.2[9]	6.2	3.8	5.7	5.7	3.2	4.2	6.7	2.8	4.8	..
	1963-1968	%	11.1	2.5[15]	5.8	4.9	6.0	6.2	4.2	3.6	6.5	2.9	5.2	..
INDICATORS OF LIVING STANDARDS:	1968													
Private consumption per head		$	730	1 300[9]	1 110	1 270	370	540	1 790	1 620	..	1 170	2 680	275
Expenditure on education		% of GNP[9]	4.54[16]	4.34[16]	6.71	5.81	1.44[16]	2.14[9]	7.80[2]	3.62[18]	3.70	4.15[16]	5.10	4.59
Dwellings completed, per 1 000 inhabitants		number	11.9	..	9.7	8.8	4.3	6.4	13.4	8.6	3.3	7.7	7.7	6.4
Passenger cars[20], per 1 000 inhabitants		number	52	235	165	166	37	50	253	206	4	196	410	28
Television sets[21], per 1 000 inhabitants		number	190	131	197	175	29	84	288	143	0	263	392	64
Telephones[21], per 1 000 inhabitants		number	204	281	216	284	65	105	478	417	13	218	523	31
Doctors[21], per 1 000 inhabitants		number	1.09[22]	1.01	1.14	1.24	0.81[22]	1.30	1.13	1.29	0.36	1.15	1.58	1.10
GROSS FIXED INVESTMENT[23] Total	1964-68 average	% of GNP	34.3	29.4[25]	26.6	29.9	19.2	24.4	24.0	27.6	17.0	18.3	16.7[26]	..
Machinery and equipment		% of GNP	27.9[27]	11.2[25]	12.2	15.7	6.9	12.3	8.1	9.2	..	8.9	6.9[26]	..
Residential construction		% of GNP	6.3	18.2[25 28]	5.3	4.4	4.2	4.7	6.1	7.1	3.6	3.7	3.6	..
Other construction		% of GNP	— [27]	— [28]	9.1	9.8	8.1	7.5	9.7	11.3	..	5.7	6.2	..
GROSS SAVING	1964-68 average	% of GNP	36.7	28.0[25]	27.1	28.5	..	22.9	23.9	28.0	..	18.2	18.5	..
PUBLIC SECTOR[30] Total current revenue	1968	% of GNP	20.6	36.0[9]	40.7	41.6	..	21.4	48.1[31]	26.8	..	37.4	30.0	32.6
WAGES/PRICES Hourly earnings[32]	Annual increase 1964-69	%	12.9[39]	..	8.8[40]	8.3[41]	8.4[33]	13.7[42]	8.6[43]	5.0[44]	..	6.0[45]	4.8[34]	..
Consumer prices		%	5.2	2.8	5.0	3.7	5.8	6.5	4.0	3.4	7.4	4.3	3.4	14.9
GNP deflator		%	4.5	2.4	5.1	3.9	4.3	6.1	4.3	3.9	4.4	4.3	3.3	..
FOREIGN TRADE Imports[46]		$ million[8]	14 128	546[9]	11 472	3 798	1 418	4 031	6 078	5 357	..	23 535	48 078	1 991[9]
—		% of GNP	10.0	77.2[9]	45.5	42.1	28.3	15.6	23.8	31.1	..	22.9	5.5	21.0[9]
Exports[46]		$ million[8]	15 353	559[9]	11 586	3 958	1 267	3 360	5 920	6 161	..	23 847	50 594	1 875[9]
—		% of GNP	10.8	79.0[9]	45.9	43.9	25.3	13.0	23.1	35.8	..	23.2	5.7	19.7[9]
BALANCE OF PAYMENTS Current balance	1964-68 average	% of GNP	0.5	−2.1[25]	−0.3	−1.0	..	−1.5	−0.8	0.5	..	−0.5	0.4	..
Official reserves, end-1969: per cent of a year's imports[47]		%	20.2	—	19.0	21.2	109.9	19.8	10.1	61.4[48]	32.5	12.7	40.6	11.9
Change	November 1969 - November 1970	$ million	267	—	358	8	64	733	−11	363	157	37	−1 918	−21
NET FLOW OF RESOURCES TO DEVELOPING COUNTRIES[49]		% of GNP	0.76	— [50]	1.34	0.78	1.74	— [51]	0.77	0.64	— [51]	0.97	0.49	— [51]
EXPORT PERFORMANCE[52] Gains or losses	1968 to 69	%	10.4	—	0.5	−1.5	−1.0	4.6	0	−2.0	−8.1	−1.2	−4.5	..
of market shares	1960-61 to 1968-69 (average)	%	7.6	—	0.7	1.9	1.2	2.3	−0.2	0.5	−4.6	−3.3	−1.6	..

1 Does not include total net migration between Finland and the other Nordic countries.
2 Relates to 1968.
3 Relates to 30-6-1969.
4 National source.
5 Relates to 1958-1968.
6 Relates to 30-6-59 - 30-6-69.
7 According to the definition used in OECD Labour Force Statistics; mining, manufacturing, construction and utilities (electricity, gas and water).
8 At current prices and exchange rates.
9 Refers to 1967. The estimates for GDP by sector for Switzerland have been published in "La Vie économique", November 1969.
10 GDP at market prices.
11 Net domestic product.
12 Electricity, gas and water works included in " other activities ".
13 Including stock appreciation.
14 At constant (1963) prices.
15 Relates to 1962-1967.
16 Relates to 1965.
17 Relates to 1966.
18 Relates to 1964.
19 Including Luxembourg.
20 Relates to 1-1-1969.
21 Relates to 1-1-1968.
22 Relates to 1-1-1967.
23 At constant (1963) prices.
24 Excluding transfer costs of land and existing assets.
25 Relates to 1963-1967.
26 Government and government enterprise expenditure on machinery and equipment is included in government current expenditure.
27 Other construction included under " machinery and equipment ". Work in progress on heavy equipment and ships for the domestic market are included in fixed asset formation.
28 Other construction included in " residential construction "
29 Including transfer costs of land.
30 General government.
31 Including depreciation.
32 Industry.
33 Monthly.
34 Manufacturing.
35 Including bonuses.
36 Hourly rates in manufacturing.
37 Hourly wage rates, unskilled workers.
38 Hourly rates in manufacturing, excluding family allowances.
39 Monthly earnings in manufacturing. Cash payments including bonuses, regular workers.
40 Hourly rates in industry, males.
41 Males.
42 Excluding family allowances.
43 Mining and manufacturing, males.
44 Hourly rates.
45 Hourly rates in manufacturing, males.
46 Goods and services, including factor income, 1968.
47 Imports of goods in 1969.
48 End-november 1969 official reserves.
49 Relates to 1969. According to the DAC definitions. Including flows to multilateral agencies.
50 Not Development Assistance Committee members.
51 Considered as a developing country for purposes of DAC reporting.
52 Values, percentage change. Figures are subject to many limiting factors. For a simple definition see OECD, Economic Outlook, December 1970, pp. 65 and 69.

NOTE Figures within brackets are estimates by the OECD Secretariat.

Sources: Common to all subjects and countries, except Yugoslavia (for special national sources see above): OECD: Labour Force Statistics, Main Economic Indicators, National Accounts, Observer, DAC and Statistics of Foreign Trade (Series A). Office Statistique des Communautés Européennes, Statistiques de base de la Communauté. IMF, International Financial Statistics.

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